Kapital Bank

KAPITAL BANK 2025 SUSTAINABILITY REPORT

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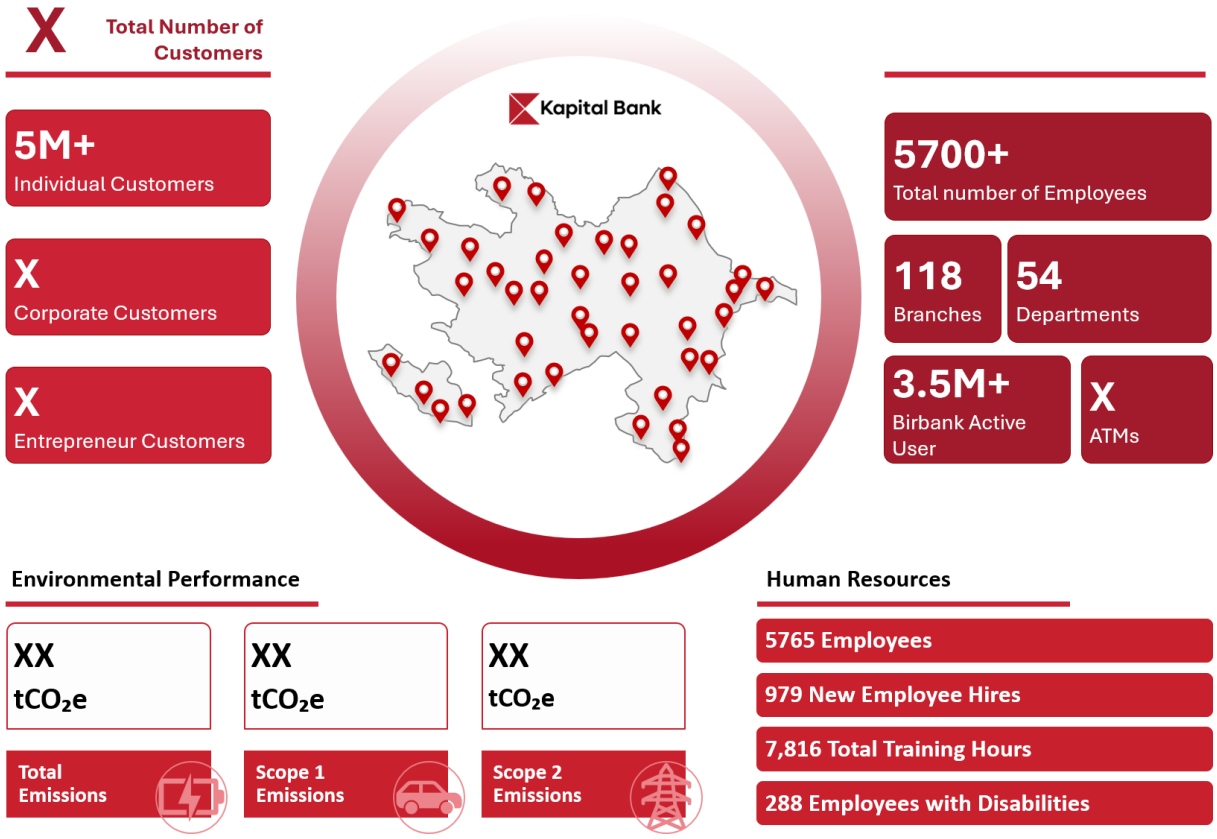
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A Year in Review

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About the Report

Scope and Boundaries

The scope of this Report covers Kapital Bank Open-Joint Stock Company as a standalone entity, with its headquarters in Baku, Azerbaijan. The Report follows an annual reporting cycle and covers the period from 1 January 2025 to 31 December 2025. To ensure accessibility for a broad range of stakeholders, it is available in both Azerbaijani and English.

Prepared in accordance with the Global Reporting Initiative (GRI) Standards, the Report is guided by the eight reporting principles established by the GRI (Figure 1). These principles underpin the collection, analysis, and presentation of sustainability information, ensuring that the Report

provides a balanced, accurate, comprehensive, and timely representation of the Bank's economic, environmental, and social impacts. In addition, the Report demonstrates our contribution to the United Nations Sustainable Development Goals (UN SDGs), placing our sustainability initiatives within a broader global framework.

To further enhance the reliability and the transparency of the information disclosed, selected Key Performance Indicators (KPIs) presented in this Report were subject to independent limited assurance in accordance with the International Standard on Assurance Engagements (ISAE 3000) (Revised) by Deloitte & Touche LLAC, an external assurance provider. This independent assessment supports the accuracy and credibility of our sustainability disclosure while reinforcing our commitment to accountability and robust reporting standards. Additional details regarding the assurance scope, methodology, and the KPIs subject to assurance are provided in the Independent Limited Assurance Statement section.

Impact materiality serves as the foundation of our sustainability report, enabling us to focus on the ESG topics that are most significant to Kapital Bank, our stakeholders, and the broader environment in which we operate. The Report reflects these priority topics, demonstrating how they influence our decision-making, and long-term value creation. By considering our economic, environmental, and social impacts through a materiality lens, we make sure that the information presented remains relevant, transparent, and responsive to both current and emerging stakeholder expectations.

In line with the GRI 3 Standard: Process to Determine Material Topics, the Bank applies a structured methodology to identify and prioritize its material ESG topics (Figure 2). The outcome of this process was the identification of 16 material topics, which form the basis of the Bank's sustainability reporting and guide the management of our most significant ESG impacts (Table 1).

Figure 2. Process to Determine Material Topics

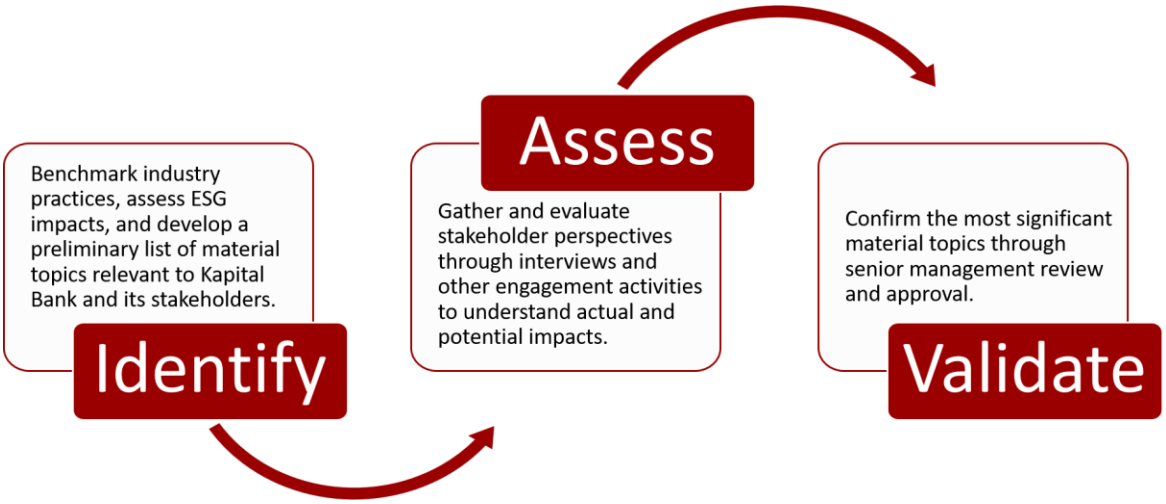


Table 1. Our Approach to Materiality

#	Material Topic	Our Approach
1	**Financial Performance**	We pursue sustainable financial growth through prudent risk management, operational efficiency, customer-focused products, and disciplined capital management, creating long-term value for shareholders and supporting Azerbaijan's economic development.
2	**Customer Experience & Satisfaction**	Delivering a seamless, secure, and customer-centric banking experience remains a strategic priority. Digital innovation, service quality monitoring, and customer feedback help us continuously improve our products and services.
3	**Enterprise Risk Management**	A comprehensive Enterprise Risk Management framework enables the proactive identification, assessment, and management of strategic, operational, financial, and emerging risks while strengthening organizational resilience.
4	**Cybersecurity & Data Privacy**	We safeguard information assets and customer data through comprehensive cybersecurity measures, data privacy controls, continuous monitoring, secure technology practices, and employee awareness programs to strengthen operational resilience and maintain stakeholder trust.
5	**Business Ethics & Compliance**	We uphold high standards of integrity through robust compliance programs, anti-corruption measures, whistleblowing mechanisms, AML/CFT controls, and ongoing employee awareness initiatives that reinforce ethical business conduct.
6	**Corporate Governance**	Strong governance practices, effective oversight, and clearly defined responsibilities support ethical decision-making, transparency, accountability, and sustainable business performance.
7	**Digital Transformation & Agility**	We leverage digital technologies, data analytics, artificial intelligence, and agile ways of working to improve operational efficiency, enhance customer experience, accelerate innovation, and expand access to financial services.

8	**People & Talent Development**	Investing in people remains central to our long-term success. Through structured recruitment, learning and development, succession planning, and leadership programs, we cultivate a skilled, adaptable, and future-ready workforce.
9	**Employee Well-being & Engagement**	Employee well-being is supported through fair employment practices, comprehensive benefits, occupational health and safety programs, and regular engagement initiatives that promote an inclusive, healthy, and motivating workplace.
10	**Innovation**	Continuous investment in emerging technologies, digital capabilities, and innovative solutions enables the Bank to improve operational efficiency, enhance customer experience, and deliver long-term value.
11	**Diversity, Equity, Inclusion & Human Rights**	We are committed to respecting human rights and fostering a diverse, equitable, and inclusive workplace. Our policies support equal opportunity, non-discrimination, employee rights, fair employment practices, and a culture built on mutual respect and inclusion.
12	**Stakeholder Engagement**	We maintain regular dialogue with our stakeholders through structured engagement mechanisms that help us understand their expectations, strengthen transparency, and incorporate stakeholder perspectives into our decision-making and sustainability priorities.
13	**Community Investment**	Positive social impact is created through community investment programs, educational initiatives, financial inclusion projects, environmental campaigns, and strategic partnerships coordinated primarily through the Red Hearts Foundation.
14	**Responsible Supply Chain**	We promote responsible procurement by applying transparent supplier selection processes, ethical sourcing principles, supplier due diligence, and procurement controls that support compliance, integrity, and sustainable supply chain management.
15	**Climate Change & GHG Emissions**	Greenhouse gas emissions are measured and managed using internationally recognized methodologies, enabling transparent reporting, informed decision-making, and continuous efforts to improve operational efficiency and reduce emissions.

16	**Environmental Management**	Environmental considerations are embedded across our operations through a structured management system that supports resource efficiency, regulatory compliance, and continuous improvement while advancing our commitments to the UN SDGs and the Paris Agreement.

Engaging with our Stakeholders

We are committed to maintaining transparent and constructive relationships with our stakeholders through continuous engagement and meaningful dialogue. To support this commitment, we systematically identify and map stakeholder groups based on their relationship with the Bank and the extent to which they influence, or are affected by, our activities, ensuring that their diverse expectations, interest, and concerns are appropriately considered. Guided by our four phased engagement approach, we implement a range of communication channels and engagement initiatives that encourage collaboration, strengthen mutual trust, and promote inclusive participation (Figure 3). By maintaining an ongoing dialogue with our stakeholders, we enhance transparency and accountability, support informed decision-making, and contribute to sustainable value creation for both the Bank and the communities in which we operate (Table 2).

Figure 3. Stakeholder Engagement Approach



Table 2. Stakeholder Engagement Approach

Stakeholder Group	Engagement Content	Communication Channel	Engagement Frequency
Customers	Kapital Bank maintains ongoing engagement with customers to better understand their evolving needs and expectations. Through continuous interaction and feedback, we strive to enhance customer	Digital banking platforms, branches, ATMs, call center, mobile banking, customer surveys, social media, website, e-mail/SMS notifications	**Continuous**, as part of customer service

	experience, improve service quality, and provide accessible, secure, and innovative financial solutions.		
Employees	We engage with employees through continuous communication, professional development opportunities, performance management processes, and employee feedback mechanisms. These initiatives support an inclusive workplace, strengthen employee well-being, and encourage personal and professional growth.	Intranet, employee portal, performance evaluations, employee surveys, training sessions, internal newsletters, meetings	**Regular**, as part of business operations
Shareholders	The Bank maintains transparent and regular communication with shareholders by providing timely information on financial performance, strategic priorities, corporate governance, and long-term value creation, supporting informed decision-making and sustainable growth.	General Meetings, Annual Report, financial statements, sustainability report, regulatory filings	**Annual and bi-annual**, as part of corporate governance
Investors	Engagement with investors focuses	Investor presentations,	**Ad hoc**, as part of investor relations

	on providing transparent, accurate, and timely disclosures regarding the Bank's financial and sustainability performance. Regular communication helps strengthen investor confidence and supports long-term investment relationships.	financial disclosures, sustainability report, website, conferences, direct meetings	
Suppliers & Contractors	Kapital Bank works closely with suppliers and contractors to promote responsible business practices, ethical procurement, and mutually beneficial partnerships. We encourage compliance with our standards while fostering collaboration that supports operational resilience and sustainable value creation.	Procurement meetings, tender documentation, supplier evaluations, contracts, e-mail correspondence, website	**Regular**, as part of procurement and business operations
Local Communities	Through community investment programs, educational initiatives, volunteering activities, and social partnerships, Kapital Bank maintains active engagement with local communities, contributing to social well-being and	Community events, CSR programs, social media, website, sustainability report, partnerships with NGOs and educational institutions	**Regular**, as part of corporate social responsibility

	sustainable development.		
Government Authorities	We engage proactively with regulatory authorities to ensure compliance with regulatory requirements, maintain transparency, and contribute to the ongoing development and stability of Azerbaijan's banking sector.	Official correspondence, meetings, consultations, regulatory submissions, public-private initiatives	**Regular**, in line with legislative and regulatory requirements
Rating Agencies	Kapital Bank collaborates with local and international financial institutions to strengthen partnerships, exchange expertise, develop innovative financial solutions, and support the resilience and sustainable development of the financial sector.	Industry forums, working groups, conferences, bilateral meetings, partnership agreements	**Regular**, based on business cooperation
Media	The Bank maintains open and transparent communication with the media by providing timely, accurate, and relevant information on its operations, financial performance, sustainability initiatives, and community activities, helping to foster	Press releases, media briefings, interviews, websites, social media platforms (LinkedIn, Facebook, Instagram, YouTube)	**Regular**, as part of public relations

	public awareness and trust.		

Contributing to the UN Sustainable Development Goals (SDGs)

As one of Azerbaijan's leading financial institutions, reflected in our strong market position, extensive customer base, and nationwide presence, we recognize our responsibility to contribute to sustainable economic growth, financial inclusion, environmental stewardship, and social well-being. Guided by the United Nations Sustainable Development Goals (UN SDGs), we continue to align our business activities, products, and community initiatives with national priorities and global sustainability ambitions.

Our contribution extends beyond banking services. Through responsible finance, digital innovation, investment in people, environmental initiatives, and strategic partnerships, we seek to generate lasting positive impacts for our customers, employees, communities, and the wider economy. The following table (Table 3) highlights the UN SDGs to which our activities make the most significant contribution during the reporting period.

Table 3. Our Contributions to UN SDGs

UN SDG	Target	Our Contribution
	**Target 1.3:** Implement nationally appropriate social protection systems and measures for all, including floors, and by 2030 achieve substantial coverage for the poor and the vulnerable.	Through the Red Hearts Foundation, we continue to support vulnerable individuals and families by providing targeted financial assistance, emergency relief, educational support, and community-based social programs. Our digital donation platforms also make charitable giving more accessible, encouraging wider public participation in social initiatives.
	**Target 4.3:** By 2030, ensure equal access for all women and men to affordable and quality technical, vocational and tertiary education, including university. **Target 4.4:** By 2030, substantially increase the number of youth and adults who have relevant skills, including technical and	We contribute to quality education by partnering with universities, educational institutions, and industry organizations to foster talent development, improve financial literacy, and promote lifelong learning. Through internship and graduate programs, career events, scholarships, professional training, and educational collaborations, we help students and young professionals build the knowledge, digital competencies, and

	vocational skills, for employment, decent jobs and entrepreneurship. **<u>Target 4.5:</u>** By 2030, eliminate gender disparities in education and ensure equal access to all levels of education and vocational training for the vulnerable, including persons with disabilities, indigenous peoples and children in vulnerable situations.	practical skills needed for the future of work. Through the Red Hearts Foundation, we further support inclusive education initiatives, educational projects for children and young people, and programs that expand learning opportunities for vulnerable communities, helping create a more skilled, innovative, and inclusive society.
	**<u>Target 5.5:</u>** Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision-making in political, economic and public life. **<u>Target 5b:</u>** Enhance the use of enabling technology, in particular information and communications technology, to promote the empowerment of women.	We promote an inclusive workplace where recruitment, career development, remuneration, and leadership opportunities are based on merit and equal opportunity. Our financial products and services also support women entrepreneurs and encourage broader participation in economic activity through accessible digital banking solutions.
	**<u>Target 9.3:</u>** Increase the access of small-scale industrial and other enterprises, in particular in developing countries, to financial services, including affordable credit, and their integration into value chains and markets.	Innovation remains central to our business model. By expanding digital banking services, integrating AI-powered solutions, and continuously improving customer experience, we strengthen Azerbaijan's digital financial infrastructure while making banking services more efficient, secure, and accessible. Recent initiatives include barrier-free banking through the launch of the country's first sign-language video call banking service.

	**Target 10.2:** By 2030, empower and promote the social, economic and political inclusion of all, irrespective of age, sex, disability, race, ethnicity, origin, religion or economic or other status.	We strive to make financial services accessible to all members of society by expanding digital banking, developing inclusive customer solutions, and removing barriers to financial access. In 2025, the launch of Azerbaijan's first sign-language video call service further strengthened financial inclusion for customers with hearing and speech impairments.
	**Target 12.6:** Encourage companies, especially large and transnational companies, to adopt sustainable practices and to integrate sustainability information into their reporting cycle.	Through digital banking, paperless services, responsible procurement, and environmental awareness initiatives, we continue to reduce our environmental footprint. Together with the Red Hearts Foundation, we also support recycling campaigns and encourage responsible resource use among employees, customers, and communities.
	**Target 13.3:** Improve education, awareness-raising and human and institutional capacity on climate change mitigation, adaptation, impact reduction and early warning.	We contribute to climate action by improving operational efficiency, monitoring greenhouse gas emissions, and supporting environmental initiatives that promote biodiversity, waste reduction, afforestation, and environmental awareness. Community programs organized with the Red Hearts Foundation continue to encourage public participation in protecting Azerbaijan's natural environment.
	**Target 17.6:** Enhance the Global Partnership for Sustainable Development, complemented by multi-stakeholder partnerships that mobilize and share knowledge, expertise, technology and financial resources, to support the achievement of the Sustainable Development Goals in all	Collaboration remains essential to delivering sustainable impact. We work closely with government institutions, universities, NGOs, international organizations, and private sector partners to advance financial inclusion, education, environmental protection, innovation, and community development, supporting the achievement of shared sustainability objectives.

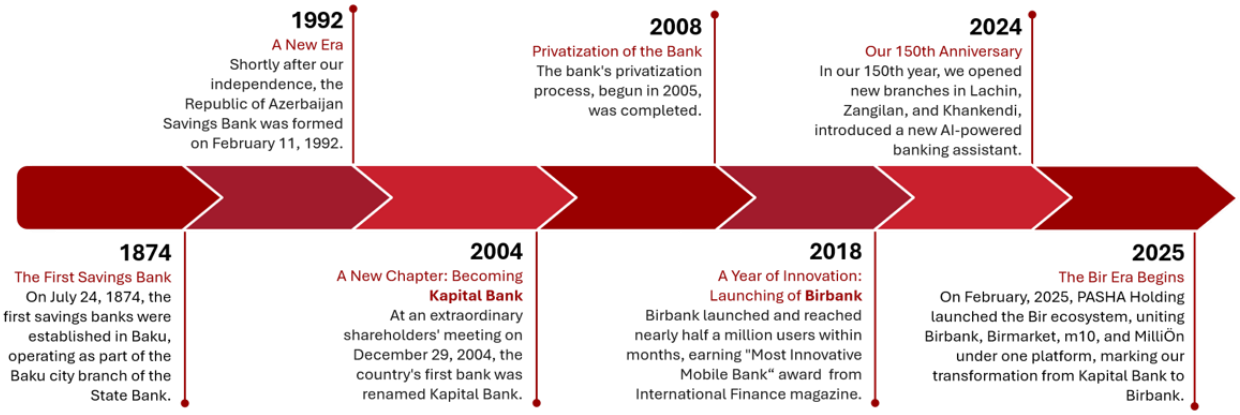
	countries, in particular developing countries.	

About Us

150+ Years to One Ecosystem

From a single savings desk opened in Baku in 1874 to the country’s largest financial institution, serving nearly 5 million customers through the country's largest service network, Kapital Bank's history mirrors the country's economic transformation. 2025 marked the year following the Bank's landmark 150th anniversary, a milestone the Bank used to reaffirm its role as a pioneer of Azerbaijan's financial sector. The timeline (Figure 4) sets out the milestones that have shaped the institution and its role in the nation’s financial development across this full history.

Figure 4. Our History with Key Milestones (1874-2025)



Our Guiding Values

Building on our leadership position in Azerbaijan's banking sector, we are positioning ourselves to lead the sector in the years ahead. We remain committed to excellence in everything we do, guided at every step by our vision, mission and core values (Figure 5).

Figure 5. Our Vision, Mission and Core Values



Awards and Recognitions

Stevie Awards

Kapital Bank was honored in five categories at the Stevie Awards in August 2025, including a Gold Stevie Winner in the Consumer Services category, recognizing its innovative technologies and customer-oriented processes.

Globee Awards

Kapital Bank won a Gold Globee Award, Best of Category, in the Customer Success category at the 2025 Globee Awards for Innovation, for its submission "Customer Oriented Transformation."

Great Place to Work

Certified for the third consecutive time, the first company in Azerbaijan to achieve this distinction. Awarded by the Great Place to Work Institute, October 2025.

Best Private Banking Azerbaijan 2025

Awarded to Birbank Private by International Investor, a UK based financial publication, in recognition of personalized service, standards of excellence, and client satisfaction.

Best Commercial Bank Azerbaijan 2025

Kapital Bank was separately named Best Commercial Bank Azerbaijan for 2025 by International Investor in May 2025, recognizing its performance in commercial banking, its customer focused approach, and its sustainable growth.

Visa Awards

Kapital Bank won four awards from Visa in May 2025, recognizing the TəlabəPlus student card, the She's Next Project for women entrepreneurs, the Bir Ecosystem Salary solution, and the Visa Infinite Miles Dark card.

The Innovators 2025: Central and Eastern Europe

Kapital Bank was named among The Innovators 2025 by Global Finance Magazine in July 2025, recognized for its fraud detection system, which stopped 198,734 fraudulent transactions, double the prior year.

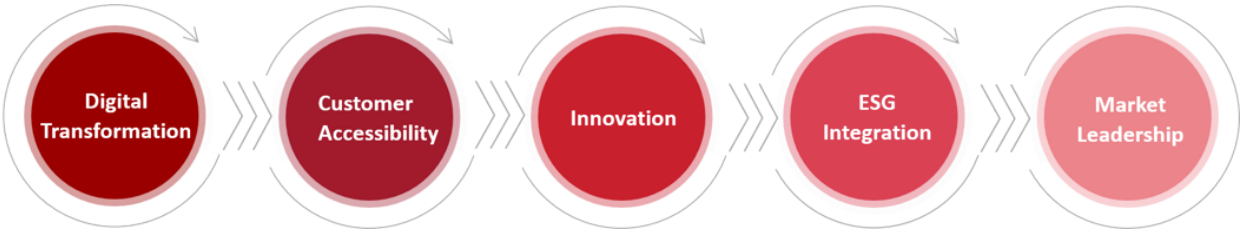
ABA Banking Awards 2025

Kapital Bank was recognized in seven nominations at the Banking Awards organized by the Association of Banks of Azerbaijan in April 2026, evaluating the Bank's activities over 2025, including social responsibility and innovation.

Strategic Direction and Priorities

At Kapital Bank, our strategic direction is built around five interlocking priorities that guide how we create long-term value for customers, employees, shareholders, and society (Figure 6). These priorities are supported by a customer base of approximately 5 million people, with more than 3 million Birbank mobile users, and provide the framework for how we respond to changing customer expectations, technological developments, and market conditions.

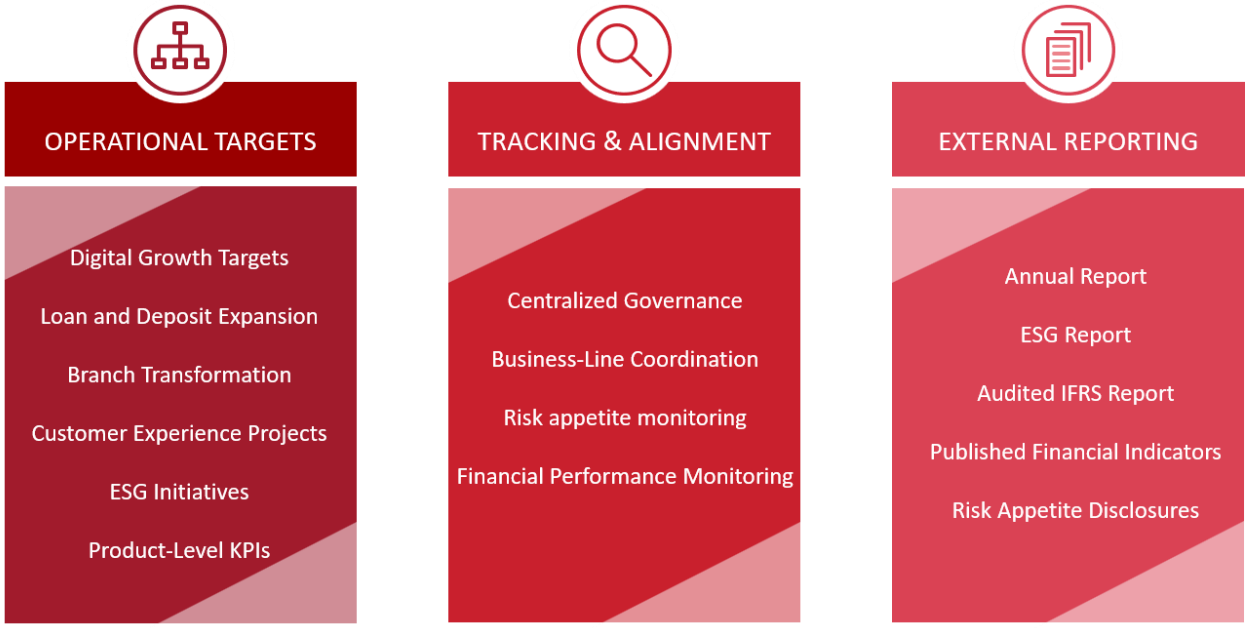
Figure 6.Our Strategic Priorities in 2025



We develop our strategy through three-year planning cycles overseen by our Board of Directors, Management Board, business lines, and PASHA Holding. Throughout each strategic period, we assess changes in the banking sector, customer behavior, regulation, and the broader operating environment to ensure our priorities remain relevant. We translate our long-term strategy into operational targets for each business area, integrating financial, operational, and ESG

considerations into decision-making, monitor progress through centralized governance and performance indicators, and communicate our progress through regular public reporting (Figure 7).

Figure 7. Our Strategy Execution



Digital transformation remained a key enabler of the Bank's strategic priorities during 2025 as well. Since becoming Azerbaijan's first fully digital bank in 2021, we have continued expanding digital banking services and strengthening the Birbank brand. During 2025, we brought together our retail, business, investment, and private banking services under the unified Birbank identity, creating more consistent customer experience while supporting our ambition to deliver more services through digital channels.

Customer experience continued to be a central focus. Throughout 2025, we continued enhancing our service model around Birbank and the broader Bir ecosystem, improving platform stability, expanding digital capabilities, and delivering a more seamless customer experience. Artificial intelligence has become an increasingly important enabler of these efforts through chatbot services, speech-to-text and text-to-speech technologies, and automated customer request processing. During the year, we also introduced Azerbaijan's first banking sign-language video call service, improving the accessibility of our services for customers with hearing impairments. At the same time, development of Bir ID continued, creating a unified authentication solution designed to provide customers with seamless access across the entire ecosystem.

Expanding the Bir ecosystem also remains an important area of strategic focus, enabling the Bank to become more deeply integrated into customers' everyday financial activities. During 2025, we expanded QR payment capabilities, introduced NFC-enabled BakıKart transport payments,

launched Birbank Invest, and partnered with Trendyol to offer Buy Now, Pay Later (BNPL) services. These developments are supported by advanced analytics, including customer lifetime value modelling, which helps tailor products and services to evolve customer needs. As the ecosystem continues to grow, we are also strengthening our risk management, financial oversight, and data governance capabilities to support sustainable growth, enhance operational resilience, and maintain effective risk management across increasingly digital operations.

People remain central to the successful delivery of our priorities. We continue investing in talent development through initiatives such as our Human Capital Academy and internship programs, while maintaining a workplace culture that supports innovation, collaboration, and continuous learning. In 2025, we were certified as a Great Place to Work for the third consecutive year, becoming the first Azerbaijani company to achieve this distinction.

We review our strategy regularly to ensure it continues to reflect changes in technology, regulation, customer expectations, ESG priorities, and the wider economic environment. Progress is monitored through a balanced set of financial, operational, customer, digital, risk, and sustainability indicators, enabling us to evaluate performance while supporting informed decision-making across the Bank.

Together, these priorities provide the framework for how we create long-term value for our customers while supporting sustainable growth across the Bank. By continuing to invest in digital transformation, customer experience, innovation, our people, and responsible business practices, we aim to strengthen our long-term resilience, expand our ecosystem, and create lasting value for all stakeholders.

Reporting on Sustainability

At Kapital Bank (hereinafter referred to as “the Bank”), we recognize that sustainable growth is built on balancing strong financial performance with responsible environmental, social, and governance practices. Our 2025 Sustainability Report (hereinafter referred to as the “the Report”), presents our continued efforts to integrate sustainability into the way we operate, make decisions, and create long-term value. It provides our stakeholders with a transparent overview of how ESG considerations are embedded across our activities and the progress achieved throughout the reporting period.

The Report highlights our key developments and accomplishments during 2025, demonstrating how sustainability remains an integral part of our daily operations. It outlines the Bank’s approach to managing environmental and social impacts, strengthening governance practices, and delivering sustainable value to our customers, employees, shareholders, and the wider community.

We acknowledge that effective sustainability reporting is shaped by ongoing stakeholder engagement and a clear understanding of the issues that matter most. Accordingly, the Report is informed by the results of our materiality assessment and reflects stakeholder perspectives in determining the topics presented. By promoting transparency, maintaining open dialogue with stakeholders, and continuously enhancing our sustainability practices, we aim to contribute to long-term economic development while generating positive social and environmental outcomes.

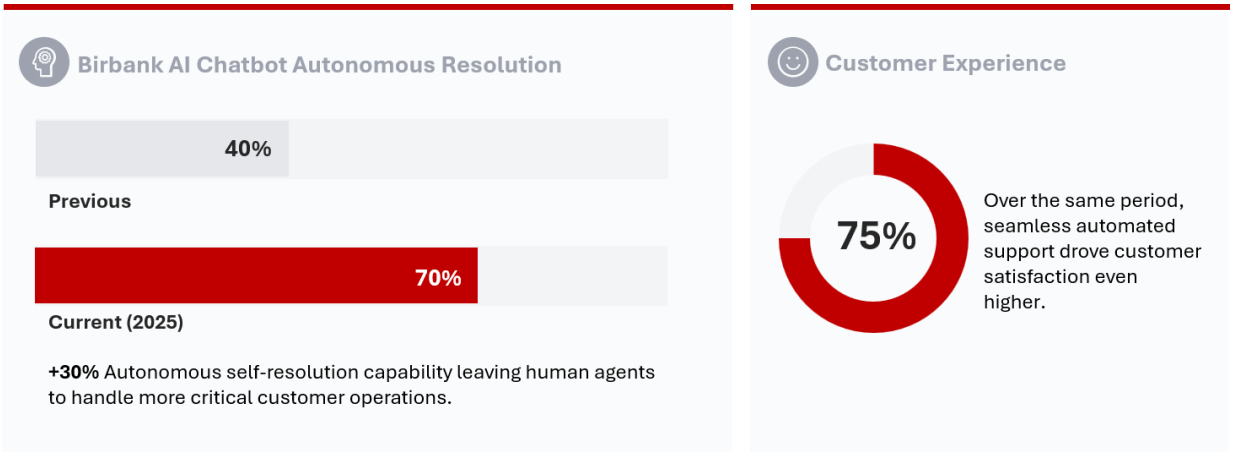
How We Create Value: Our Business Model

Birbank: Expanding Digital Reach

In 2025, we continued the transformation of Kapital Bank's retail banking identity under the Birbank brand, building on the digital platform first introduced in 2021 and now serving more than 3 million monthly active users. This evolution reflects our broader transition towards a digital-first business model focused on accessibility, convenience, and an integrated customer experience.

Accessibility remained an important area of focus during the year. In the third quarter of 2025, we piloted a sign-language video call service integrated directly into Birbank, enabling customers with hearing and speech impairments to access banking support more independently. At the same time, the Birbank AI Chat continued to improve its ability to resolve customer inquiries independently, contributing to greater service efficiency and an enhanced customer experience (Figure 8).

Figure 8. Birbank AI Chat Resolution Performance



During 2025, we further expanded Birbank's role in supporting digital payments and reducing reliance on cash and physical payment methods. The number of QR payment acceptance points accessible through Birbank increased from 20,000 to 40,000, while contactless NFC payments

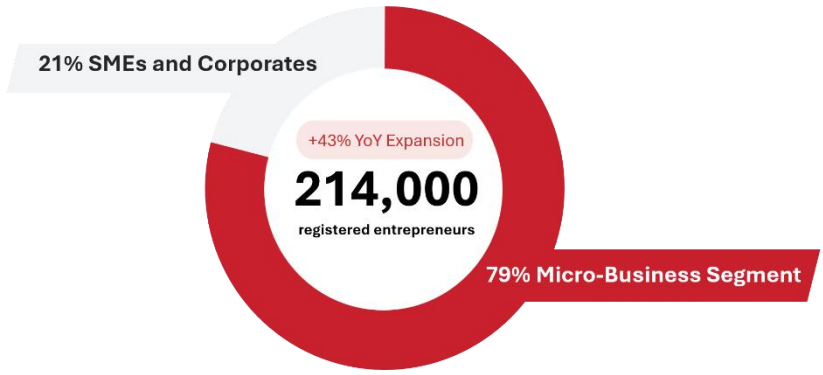
were introduced across all Baku Bus routes and Baku Metro stations. These developments expanded the availability of convenient digital payment solutions while supporting the broader transition towards a more connected and cashless financial ecosystem.

We also changed how Birbank rewards everyday card use. Starting August 2025, we moved Birbank Cashback and Birbank Star cardholders away from capped cashback on partner purchases and toward unlimited Birmarket bonuses instead, provided the customer selects a bonus category in the app each month. We designed this change to reward frequent, everyday use more generously than our previous capped model allowed.

Birbank Business: Removing Barriers for Entrepreneurs

Birbank Business continued to strengthen its role as our dedicated digital banking platform for entrepreneurs by making business banking more accessible, efficient, and data driven.

Figure 9. Birbank Business Customer Base



Our customer base on Birbank Business grew by 43 percent compared with the previous year. Most of these customers, more than 169,000, were micro businesses, reflecting the increasing adoption of digital banking among Azerbaijan's entrepreneurs. (Figure 9). This growth demonstrates that reducing administrative barriers and providing convenient digital services encourages more businesses to manage their financial activities through our platform.

In 2025, 91% of customers completed onboarding entirely through digital channels, removing a significant barrier for small business owners historically underserved by traditional banking processes.

Figure 10. Digital Banking Adoption

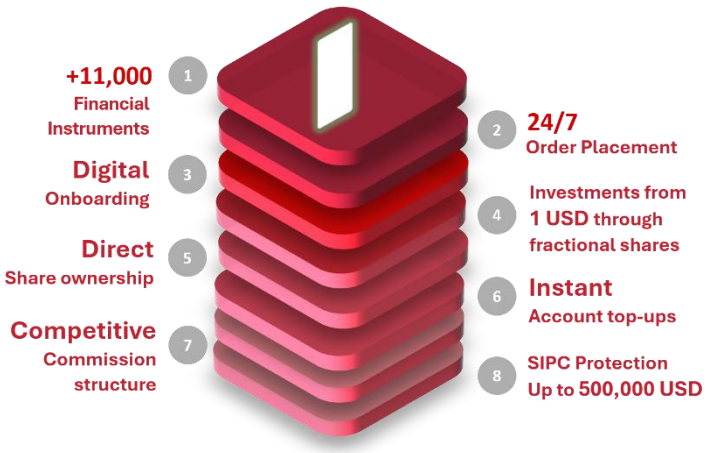


Digital channels also became the preferred way for entrepreneurs to access financing and manage their day-to-day banking activities. During the reporting period, 89.5 percent of loan applications from micro entrepreneurs and 39 percent from small and medium-sized businesses were submitted online. In addition, 98 percent of daily banking operations, including payments and transfers, were completed digitally through the Birbank Business platform (Figure 10).

Birbank Invest: Expanding Access to Capital Markets

In June 2025, we launched Birbank Invest, expanding our digital financial services into investment products and broadening customer access to international capital markets. At launch, the platform provided access to more than 11,000 financial instruments, including shares of international companies and exchange-traded funds (ETFs), with investment orders available beyond standard market trading hours.

Figure 11. Key Features of Birbank Invest



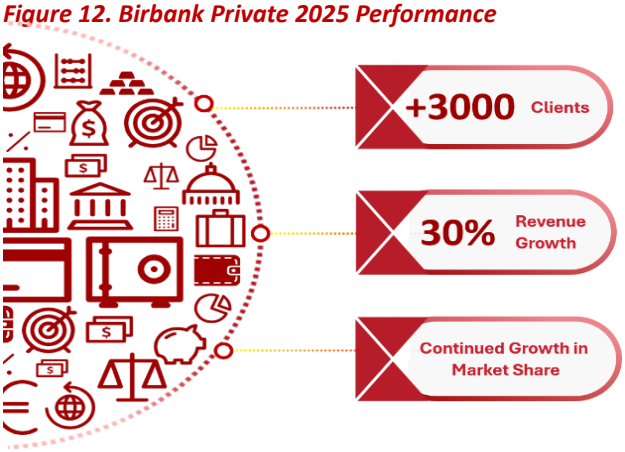
Designed to reduce traditional barriers to investing, Birbank Invest provides a fully digital onboarding process and enables fractional investments starting from one US dollar. These features make capital market participation more accessible to a broader customer base, including first-time investors. Shares are registered directly in customers' names, supporting transparent ownership and strengthening confidence in the investment process (Figure 11).

We also focused on strengthening transparency, affordability, and security. Shares are registered directly in each customer's name rather than through contracts for difference, providing clear ownership of invested assets.

Birbank Private: Tailored Wealth Management

Through Birbank Private, we provide tailored wealth management services that combine dedicated relationship management with personalized financial solutions for high-net-worth clients. During 2025, we expanded our physical presence by opening a second Birbank Private branch and introduced fully digital transfer capabilities for domestic and international transactions. Birbank Private revenue increased from AZN 12 million to AZN 15.7 million during the year (Figure 12).

Figure 12. Birbank Private 2025 Performance



Our offering also continued to evolve in response to client needs, with new solutions introduced during the year, including a family bundle, hybrid credit solution, and multi-currency Birbank Premium cards designed to support international travel and business needs.

Bir Ecosystem: Beyond Banking

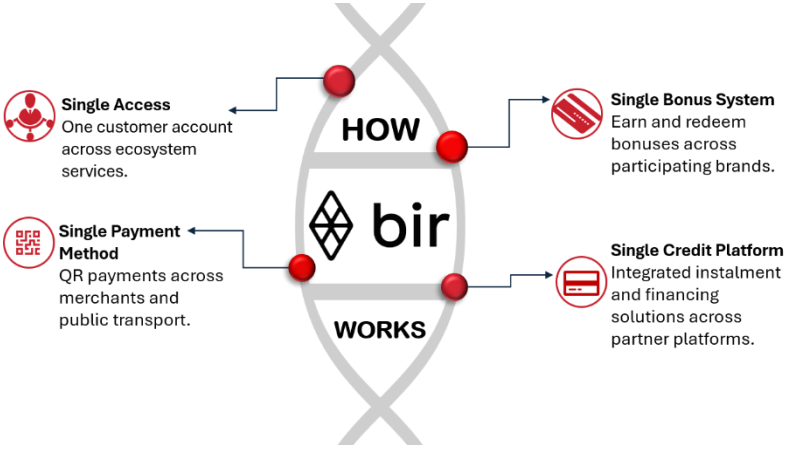
In February 2025, PASHA Holding officially introduced the Bir ecosystem, bringing together Birbank, m10, MilliÖn, and Umico.az, alongside strategic partnerships with Trendyol Azerbaijan and BakıKart (Figure 13). During the year, Umico also completed its phased transition to Birmarket, while existing customer accounts, order histories, and bonus balances were retained throughout the process.

Figure 13. The Bir Ecosystem: Core Platforms and Partnerships



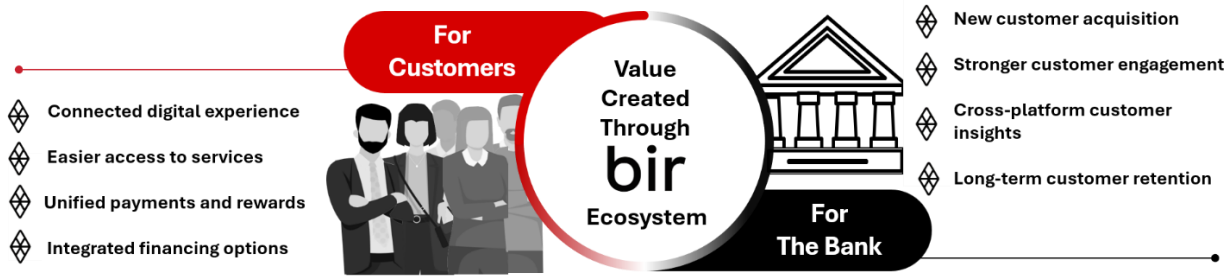
The ecosystem is structured around four interconnected elements: unified access, a common bonus system, integrated payment solutions, and a shared credit platform (Figure 14). This model enables customers to interact more seamlessly across financial and non-financial services, from digital payments and public transport to e-commerce, credit, and loyalty solutions.

Figure 14. How the Bir Ecosystem Works



The development of Bir represents a further evolution of our business model, strengthening the integration between banking, payments, commerce, and other digital services. By connecting these platforms within a broader ecosystem, we can enhance customer experience, strengthen personalization, generate deeper insights into evolving customer needs, and extend financial services to new customer segments. Shared ecosystem indicators are monitored alongside individual business KPIs to assess performance and support continued development (Figure 15).

Figure 15. Value Created Through the Bir Ecosystem

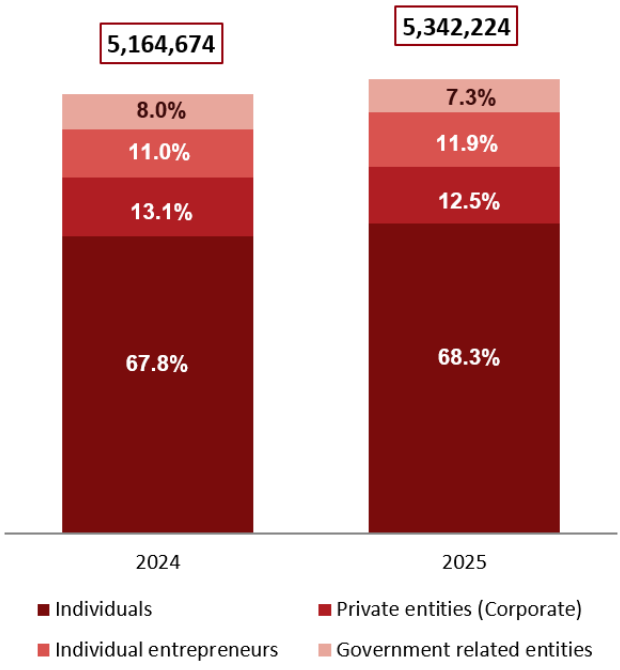


Driving Long-Term Economic Value

Throughout 2025, we continued to generate and distribute economic value while maintaining a resilient financial position and contributing to Azerbaijan's broader economic development. Strong financial performance enabled continued investment in digital transformation, expanded access to finance, employment creation, community initiatives, and contributions to public finances. Total revenues reached AZN 1.79 billion, representing a 26.1% increase compared with the previous year, while the Bank maintained a strong balance sheet supported by total assets of more than 11.57 billion AZN, total capitalization of AZN 1.45 billion, and a deposit portfolio of AZN 8.48 billion.

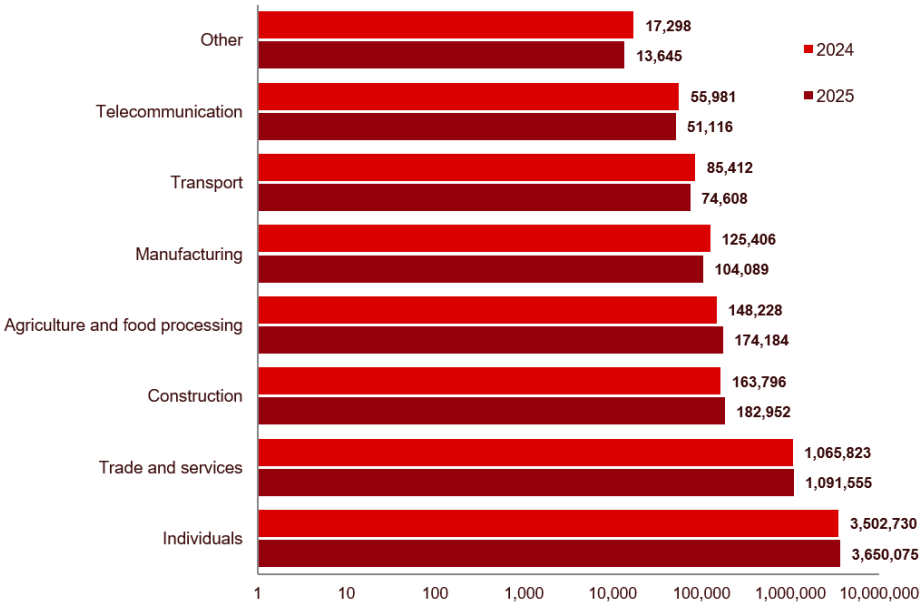
During the reporting year, direct economic value distributed amounted to AZN 784.7 million, including AZN 256.5 million in operating expenses and employee wages and benefits, AZN 354.7 million in interest expenses, AZN 152.2 million in payments to government, and AZN 21.3 million in community investments. At the same time, more than AZN 1 billion in economic value was retained to support future investment and long-term business development.

Figure 16. Loan Portfolio by Customer Type (2024–2025), thousands AZN



Providing access to finance remains one of the most direct ways in which we contribute to economic development. Individuals accounted for 68.3% of the Bank's gross loan portfolio, reflecting the continued importance of retail financing within our business model (Figure 16). Lending to individual entrepreneurs increased by 11.4%, reaching AZN 635 million, reflecting our continued support for entrepreneurship, self-employment, and the development of small businesses that contribute to employment and economic resilience. Mortgage lending remained an important component of our retail portfolio at 595 million AZN, supporting continued access to housing finance, while lending to private entities and government-related organizations continued financing commercial activity and investment across Azerbaijan.

Figure 17. Loan Distribution across Sector (2024–2025), thousands AZN



The composition of our lending portfolio also demonstrates how we support economic activity across different sectors. During 2025, trade and services remained the largest business lending segment, increasing to 1.09 billion AZN, reflecting continued support for commercial activity across the country. Lending to agriculture and food processing grew by 17.6% during the year, reaching 174 million AZN, while financing for the construction sector also

increased to 183 million AZN, supporting infrastructure development and broader economic growth (Figure 17).

Maintaining financial resilience remains fundamental to our ability to create long-term value. During 2025, the Bank maintained a Return on Tangible Equity (ROTE) of 20.26%, a Total Capital Ratio of 14.18%, and a Liquidity Coverage Ratio of 137.87%. Capital adequacy, liquidity, profitability, and other financial risks are continuously monitored within our risk management framework, supporting financial stability and informed capital allocation. Investment decisions consider digital transformation, financial inclusion, operational efficiency, and ESG-related priorities alongside traditional financial criteria, enabling us to balance current performance with long-term growth.

Creating economic value also means contributing responsibly to public finances. During 2025, Kapital Bank contributed AZN 152.2 million to the state budget through taxes and statutory payments, representing a 26.1% increase compared with AZN 120.7 million in 2024. This included AZN 94.7 million in profit tax, alongside property tax, withholding tax, land tax, and statutory social protection contributions.

Our approach to taxation is based on transparency, compliance, and responsible business conduct. Tax governance is overseen through established internal controls and coordinated across relevant Finance, Accounting, Compliance, Internal Audit, and Risk Management functions. We declare income in the jurisdictions where economic activity occurs, do not pursue aggressive tax planning practices, and continuously monitor tax risks and legislative developments to maintain compliance with applicable requirements.

Enhancing Customer Experience

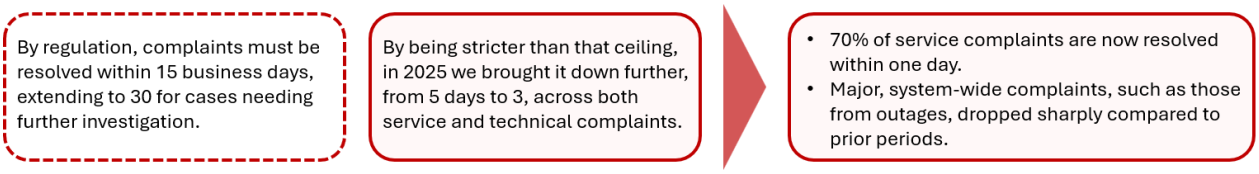
Customer experience remains a central pillar of our 2023–2026 fintech direction, guiding the way we design and deliver services across our branches, contact center, and digital platforms. Throughout 2025, we continued to translate this strategic priority into practice by strengthening customer feedback mechanisms, enhancing service quality monitoring, improving response processes, and expanding the accessibility of our banking services.

Figure 18. Our Core Objectives



One of the key developments during the year was the introduction of a new feedback mechanism covering every customer interaction, regardless of channel. After each interaction, customers are invited to complete a short five-point survey with an optional free-text comment. Feedback is automatically converted into a task within our JIRA system and routed directly to the team responsible. This replaced a slower manual process, allowing negative feedback to reach the right teams almost immediately and enabling faster action and resolution (Figure 19).

Figure 19. Faster Flow of Resolution



Alongside improving response times, we strengthened our approach to service quality. In 2025, we began transitioning from manual quality sampling to AI-powered monitoring by putting an AI-based quality assessment system into production for our call center. The system evaluates customer interactions against predefined criteria, including greeting standards and the accuracy of information provided. While manual reviews could assess only a limited sample of calls, AI allows us to move towards comprehensive coverage. Whenever a review identifies that inaccurate information was shared with a customer, we proactively contact them to provide the correct information. Every interaction is therefore assessed from two perspectives: the customer's experience and compliance with our quality and regulatory standards.

These quality improvements are supported by an integrated omnichannel service model. Our contact center operates 24/7, handling informational, operational, compliance-related, and complaint-related requests. Because our call center, branches, and digital channels are connected, customers can continue the same request across different channels without restarting the process. Whenever possible, issues are resolved within the original channel. However, in situations where customer identity cannot be securely verified, such as certain phone inquiries, customers are redirected to another channel to ensure the security of their information. This integrated approach also extends across customer segments, with dedicated teams, call centers, applications, and chat services supporting both retail and corporate customers.

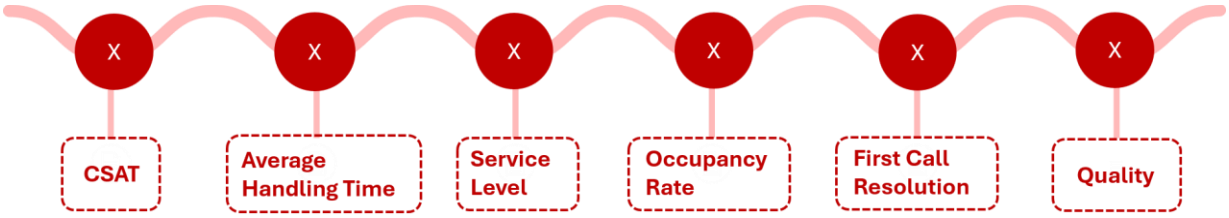
Accessibility was another major focus during the year. In 2025, we introduced the first sign-language video call service in Azerbaijan’s banking sector through the Birbank mobile application, with plans to extend the service to our branch network. Serving more than three million Birbank users, this initiative removes an important barrier for customers with hearing and speech impairments by enabling them to communicate directly with the bank in sign language. It complements existing measures supporting other vulnerable customer groups, including priority service without queueing for families of martyrs and war veterans, as well as continued

investments in branch accessibility through ramps and tactile flooring for customers with mobility or visual impairments.

We also continued strengthening direct dialogue between customers and senior management. During 2025, our "Open Door" initiative once again gave customers the opportunity to meet directly with senior leaders at our head office. Many issues were resolved during these meetings, while others were followed up with customers once actions had been completed. Insights gathered through these interactions provide valuable input for identifying service improvement opportunities and ensuring that customer perspectives are reflected in relevant decision-making processes. In addition, tribe leads and product owners regularly spend time in the call center listening to live calls and reviewing chat conversations, helping ensure that decision-makers remain closely connected to customers' everyday experiences.

These initiatives contributed to measurable improvements in customer service performance during 2025 (Figure 20). Our in-house chatbot continued to resolve a growing share of customer inquiries independently, approaching an 80% self-resolution rate by year-end. The call center also recorded improvements in both abandonment and service rates during the second half of the year. Performance is monitored through relationship Net Promoter Score (NPS), measured twice annually by an independent provider, transactional NPS collected after specific customer interactions, and Customer Satisfaction (CSAT) scores tracked across branches, the call center, chat, social media, telesales, and private banking.

Figure 20. 2025 Key KPI Metrics



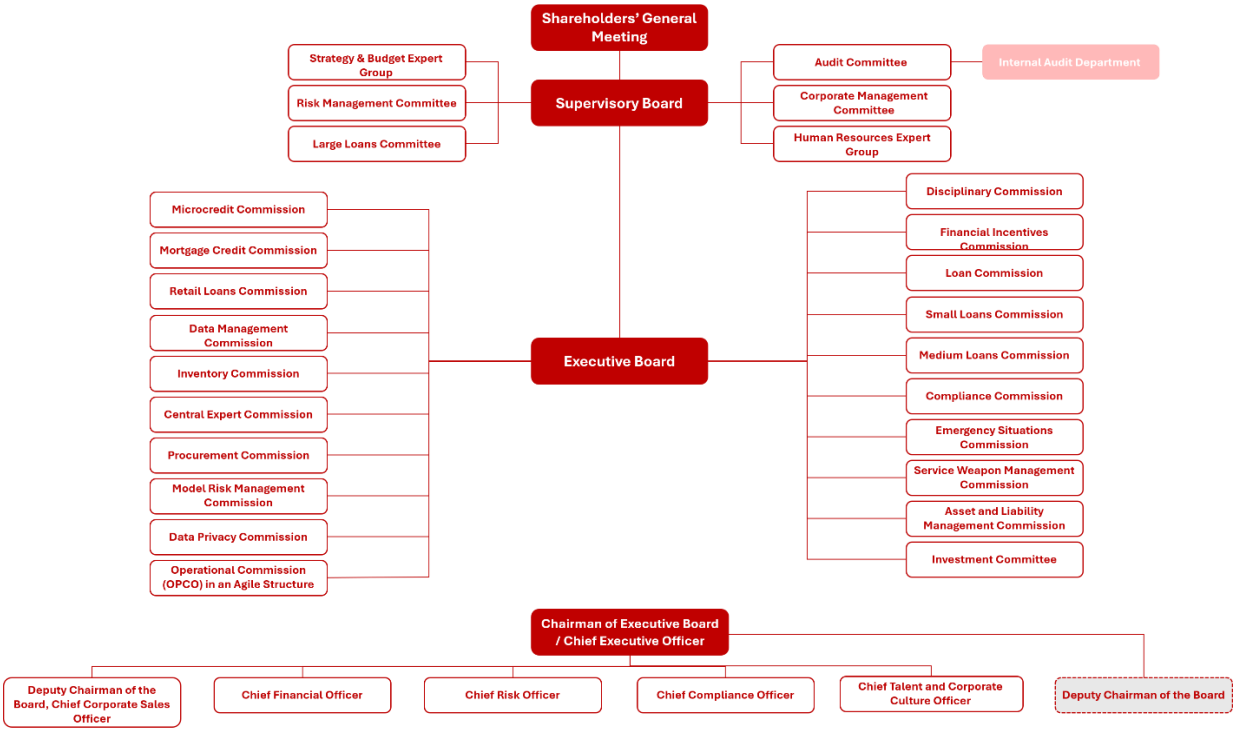
Corporate Governance: Responsible Leadership and Oversight

Strong corporate governance enables us at Kapital Bank to operate responsibly, manage risks effectively, and create sustainable value from our stakeholders. Our governance framework promotes transparency, accountability, and ethical leadership whilst maintaining that strategic decisions support the Bank’s long-term objectives and sustainable growth.

A clearly defined governance structure establishes the roles and responsibilities of shareholders, governing bodies, executive management, and specialized committees. Together, these bodies

provide effective oversight, strengthen internal controls, support prudent risk management, and assure compliance with applicable regulatory requirements.

Figure 21. Organizational Structure



The Bank's governance model separates strategic oversight from operational management, enabling independent supervision whilst guaranteeing efficient execution of business activities. The Shareholders' General Meeting remains the highest governing body, approving significant corporate decisions and safeguarding shareholder rights. The Supervisory Board provides strategic direction, oversees financial and operational performance, monitors risk management and internal controls, and evaluates Executive Board performance.

The Executive Board is responsible for implementing the Bank's strategy and managing day-to-day operations. Working alongside senior management and specialized committees, it oversees business performance, financial management, digital transformation, compliance, and organizational development, making sure that decisions remain aligned with the Bank's strategic priorities and regulatory obligations.

Specialized committees supporting both the Supervisory Board and Executive Board provide independent expertise across key areas including audit, risk management, corporate governance, lending, procurement, finance, human capital, data governance, and operational efficiency. Their work strengthens decision-making, enhances accountability, and reinforces the Bank's governance framework.

Figure 22. Governance Responsibilities



Kapital Bank's governing bodies bring together experienced professionals with expertise across banking, finance, risk management, legal affairs, compliance, technology, and human capital. This diversity of knowledge supports balanced decision-making and enables the Bank to respond effectively to emerging opportunities and risks.

Throughout 2025, the governance framework continued to support transparent decision-making, effective oversight, and sound management practices. Regular meetings of the governing bodies and their committees enabled continuous monitoring of strategic priorities, financial performance, regulatory developments, and enterprise risks while strengthening accountability across the organization.

Figure 23. Supervisory Board Members



Farid U. Mammadov

Chairman of the Supervisory Board of the Bank



Alexey Marey

Independent Member of the Bank's Supervisory Board



Ogtay A. Hasanov

Member of the Bank's Supervisory Board



Maragarita Koshman

Independent Member of the Bank's Supervisory Board



Ilya Arkhipov

Member of the Bank's Supervisory Board

Figure 24. Executive Board Members



Farid Huseynov

Chairman of the Board, Chief Executive Officer



Javid Mirzayev

First Deputy Chairman of the Management Board



Jalal Orujov

Deputy Chairman of the Management Board



Rauf Atakishiyev

Board Member, Chief Financial Officer



Farid Hidayatzade

Deputy Chairman of the Management Board, Chief Corporate Sales Officer



Kamal Abdullayev

Board Member, Chief Compliance Officer



Agharza Bakhshiyev

Board Member, Chief Risk Officer



Yashar Mammadov

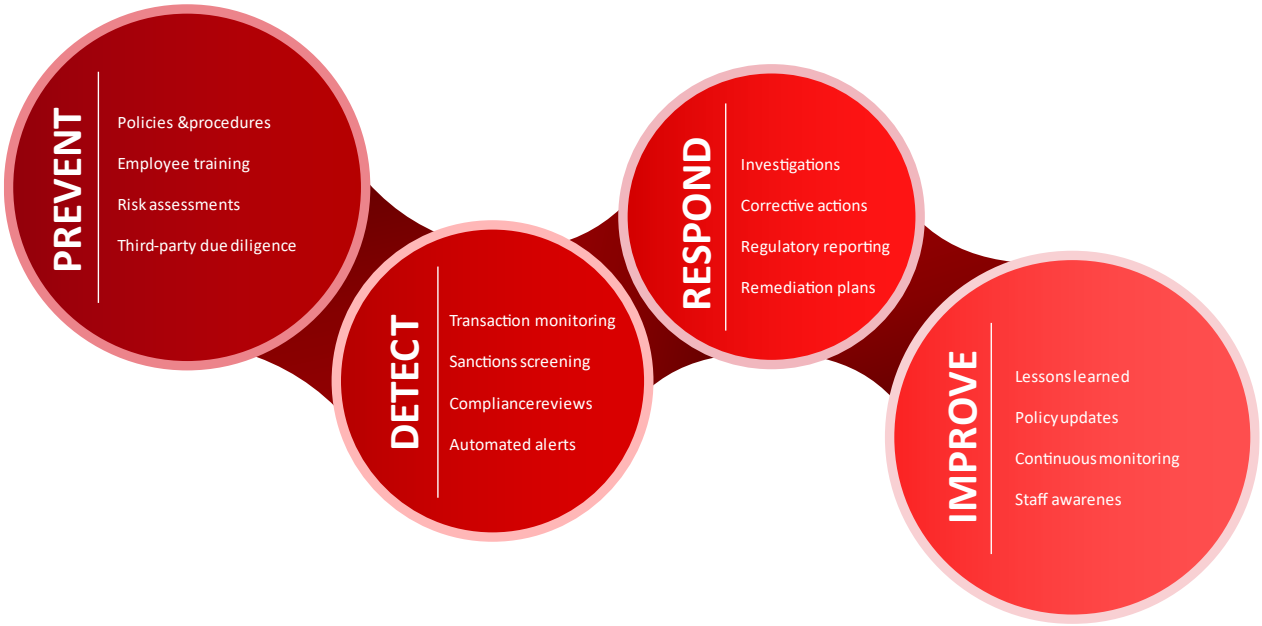
Deputy Chairman of the Management Board

Ethics, Compliance, and Financial Crime Prevention

Ethics and integrity remain central to Kapital Bank's corporate culture and long-term sustainability. Our Compliance Function operates independently under the oversight of the Executive Board, assuring compliance with applicable laws, regulatory requirements, and internal policies while promoting responsible business conduct across all areas of the Bank.

Throughout 2025, we continued strengthening our compliance framework by enhancing risk monitoring, expanding automated control mechanisms, reinforcing employee awareness programs, and improving oversight of regulatory developments. Our approach combines preventative controls, continuous monitoring, and timely response measures to safeguard customers, employees, shareholders, and the integrity of the financial system.

Figure 25. Compliance Framework

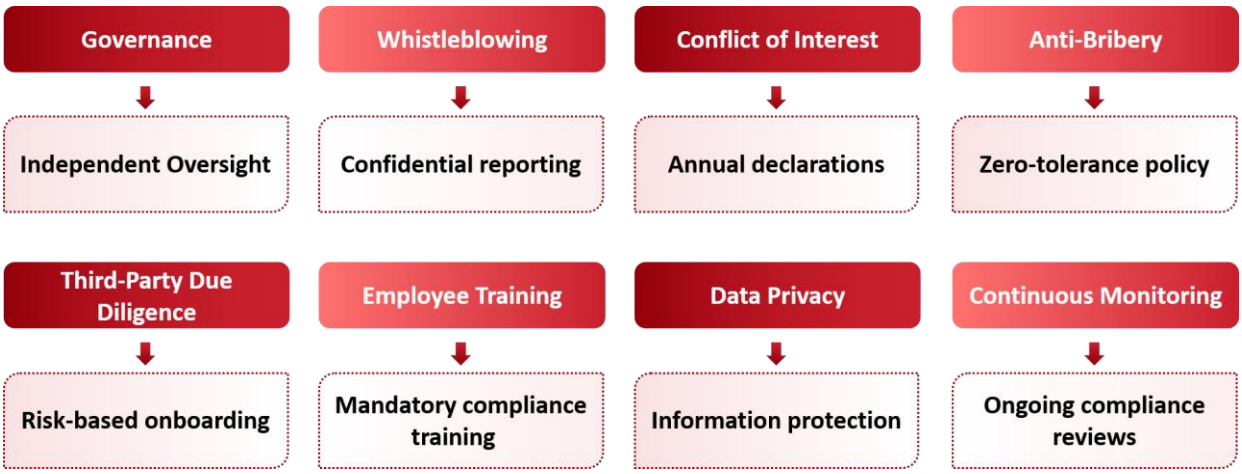


Our Compliance function encompasses anti-money laundering (AML) and counter-terrorist financing (CTF), sanctions compliance, anti-bribery and corruption, fraud prevention, conflict of interest management, whistleblowing, data privacy, ESG-related compliance, and ethical business conduct. These elements work together to strengthen governance, protect stakeholder interests, and support sustainable business practices.

To encourage transparency, the Bank maintains secure whistleblowing channels that enable employees and external stakeholders to report suspected misconduct confidentially or anonymously. All reports are independently assessed, investigated where necessary, and followed by appropriate corrective actions while maintaining protection against retaliation.

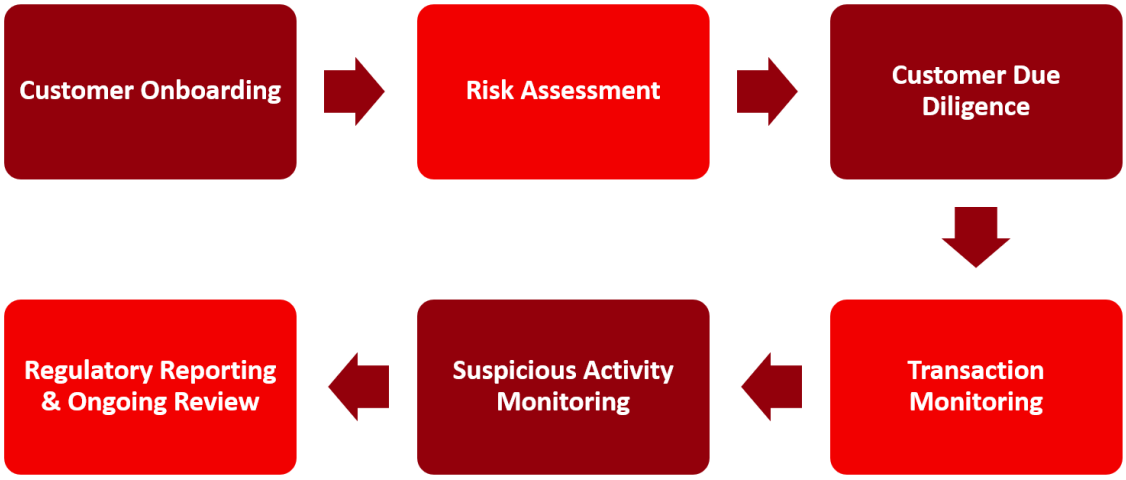
Likewise, our anti-bribery and conflict of interest framework promote ethical decision-making through mandatory declarations, segregation of duties, approval procedures, regular employee training, and comprehensive due diligence on business partners. These controls help maintain trust, accountability, and transparency across our operations.

Figure 26. Ethics & Integrity Controls



Preventing financial crime remains a strategic priority for Kapital Bank. Our AML/CFT framework follows Azerbaijani legislation, Financial Action Task Force (FATF) Recommendations, Basel principles, and international best practice. The Bank also maintains a dedicated sanctions compliance program designed to ensure compliance with applicable international and domestic sanctions regimes. Automated screening of customers, counterparties, transactions, and payment messages is complemented by regular sanctions list updates, escalation procedures, and specialist review processes. A risk-based approach governs customer onboarding, due diligence, sanctions screening, transaction monitoring, and periodic customer reviews. The program is overseen by an independent Money Laundering Reporting Officer (MLRO) supported by automated monitoring tools and clearly defined escalation procedures, enabling timely identification and mitigation of financial crime risks.

Figure 27. Risk based AML process



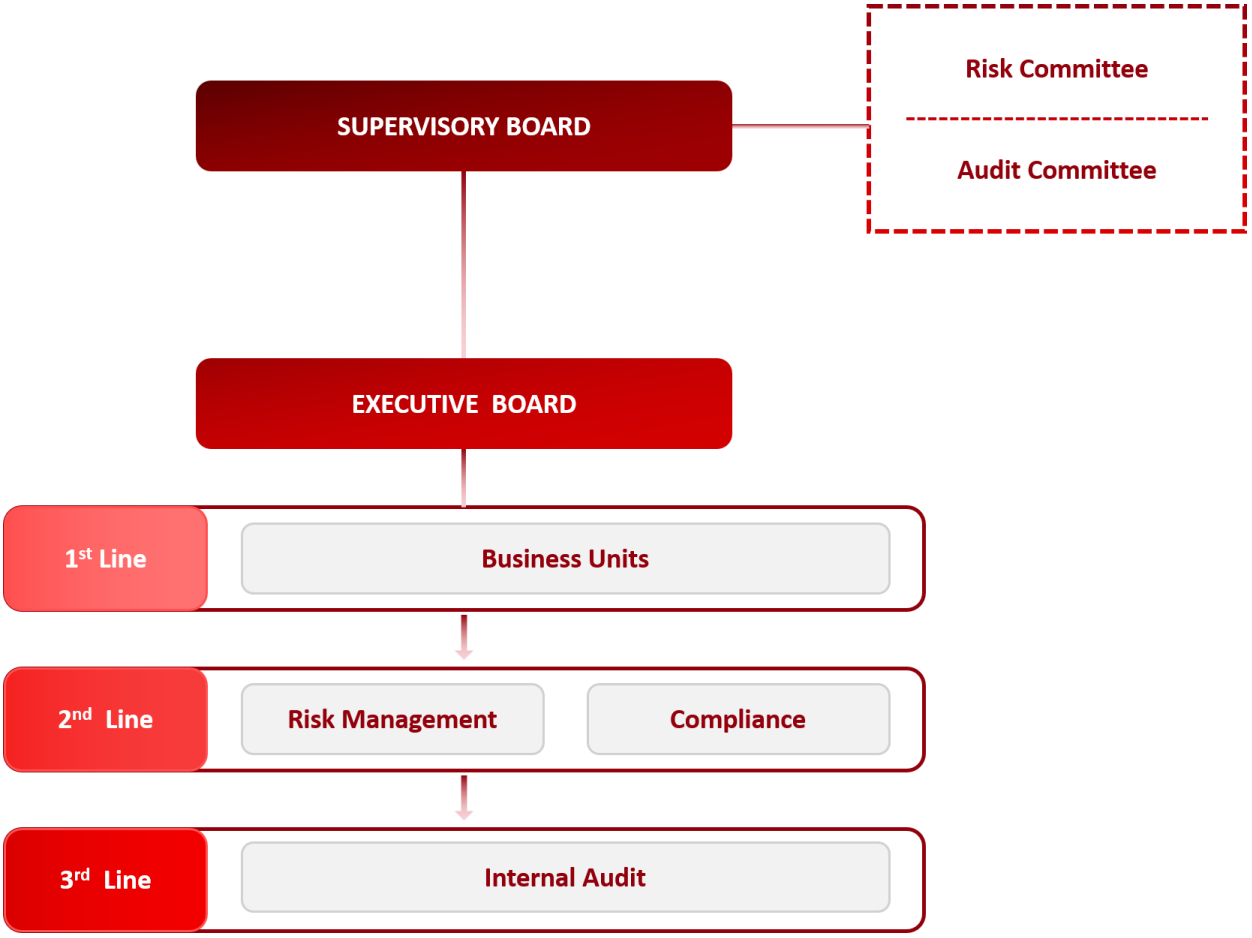
Through these integrated governance, compliance, and financial crime prevention measures, Kapital Bank continues to reinforce a culture that supports responsible and sustainable growth.

Risk Governance and Management

Managing risk is fundamental to our long-term resilience and sustainable growth. Our Enterprise Risk Management (ERM) Framework enables us to identify, assess, monitor, and manage risks across all business activities while supporting strategic decision-making and protecting stakeholder value.

The framework is embedded throughout the Bank's governance structure and business processes, making sure that risk considerations are incorporated into strategy development, product design, investment decisions, operational activities, and regulatory compliance. The framework also incorporates ESG considerations into enterprise risk management, enabling the Bank to identify and assess ESG-related risks alongside traditional financial and operational risks. By maintaining a forward-looking approach to risk management, we strengthen our ability to respond to evolving market conditions while supporting sustainable business growth.

Figure 28. Enterprise Risk Governance Framework



The Bank applies the internationally recognized Three Lines Model to clearly define responsibilities across risk management. Business units manage risks within their daily operations, the Risk Management and Compliance functions provide oversight and guidance, while the Internal Audit Department independently evaluates the effectiveness of the overall control environment.

Risk governance is supported by the Supervisory Board, Executive Board, Risk Management Committee, Audit Committee, and Chief Risk Officer (CRO), guaranteeing accountability and informed decision-making across all organizational levels.

We continuously identify emerging and existing risks through structured assessments, risk registers, scenario analysis, key risk indicators (KRIs), stress testing, and Risk and Control Self-Assessments (RCSAs). Both qualitative and quantitative methodologies are applied to evaluate the likelihood and potential impacts of risks, enabling timely mitigation before risks materialize.

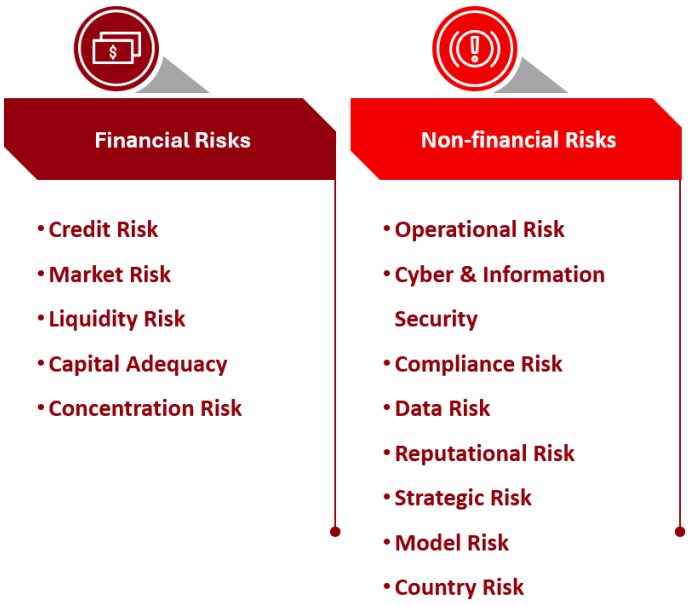
Risk appetite and tolerance levels are defined through our Risk Appetite Statement, providing clear thresholds for acceptable risk-taking while supporting strategic objectives.

Figure 29. Enterprise Risk Cycle



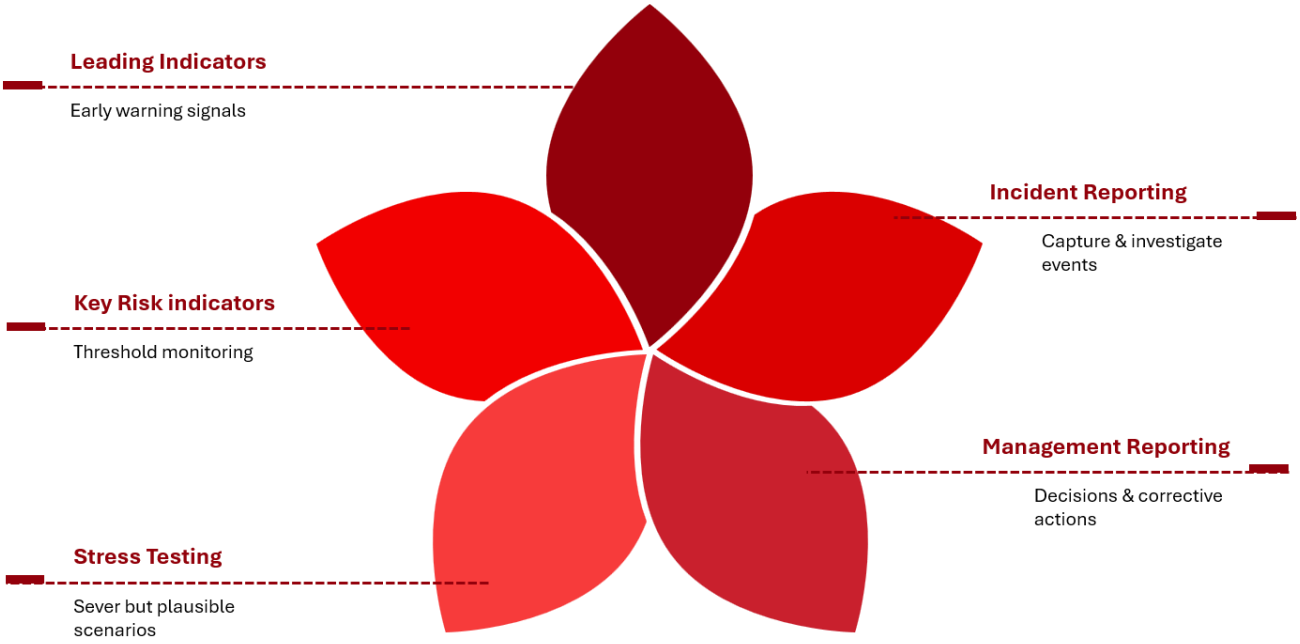
To ensure comprehensive oversight, risks are monitored through a centralized reporting framework that combines operational data, risk indicators, incident reporting, stress testing, and periodic management reviews. Regular reporting enables senior management and the Supervisory Board to monitor emerging trends and evaluate the effectiveness of mitigation measures.

Figure 30. Principal Risk Categories



The Bank complements preventative risk management with continuous monitoring and structured incident management processes. Key Risk Indicators (KRIs), stress testing, scenario analysis, and operational incident reporting enable early detection of emerging risks and support timely management responses. Incident reporting procedures assure that significant operational events are investigated, analyzed and documented, allowing lessons learned to be incorporated into future controls and strengthening the Bank's operational resilience.

Figure 31. Risk Monitoring Toolkit



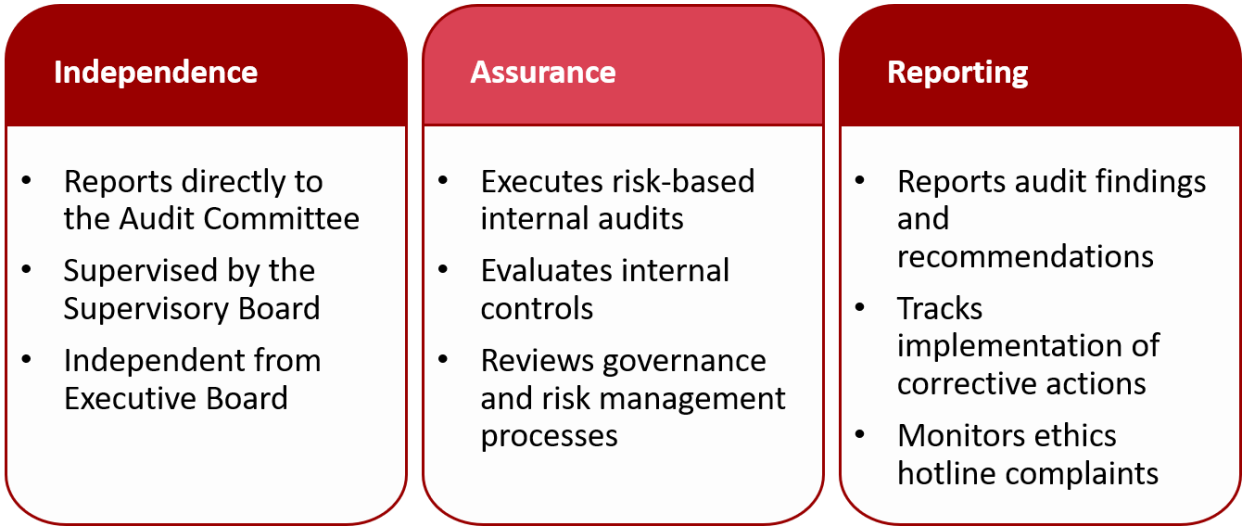
By integrating governance, proactive monitoring, and continuous improvement into a unified ERM framework, Kapital Bank maintains a resilient control environment that supports informed decision-making, regulatory compliance, and sustainable long-term value creation.

Internal Audit Framework

The Internal Audit Department (IAD) operates independently under the oversight of the Bank's Audit Committee, maintaining objectivity in accordance with applicable legislation and internal governance requirements. To safeguard its independence, the IAD reports directly to the Audit Committee, while appointments and dismissals of the Head of the Department and its members are approved by the Supervisory Board based on the Committee's recommendations.

Internal audit activities are performed in accordance with an annual risk-based audit plan approved by the Audit Committee. The plan establishes audit priorities and allocates resources based on the Bank's risk profile, ensuring that audit activities remain focused on areas of greatest significance. Throughout the year, the IAD reports on the implementation of the audit plan, communicates audit findings and recommendations, and monitors the progress of agreed corrective actions.

Figure 32. Internal Audit Framework



Through these independent assurance activities, the IAD evaluates the effectiveness of internal controls, governance processes, and risk management practices, contributing to transparency, accountability, regulatory compliance, and the continuous improvement of the Bank's operations.

The IAD maintains regular communication with the Audit Committee through structured reporting, providing timely updates on audit activities, significant risks, ethics-related complaints, and the implementation status of audit recommendations. This reporting supports effective oversight by the Audit Committee and Supervisory Board while strengthening accountability across the Bank. All internal audit reports are treated as confidential and are disclosed only in accordance with the Bank's established governance procedures.

Figure 33. Internal Audit Reporting



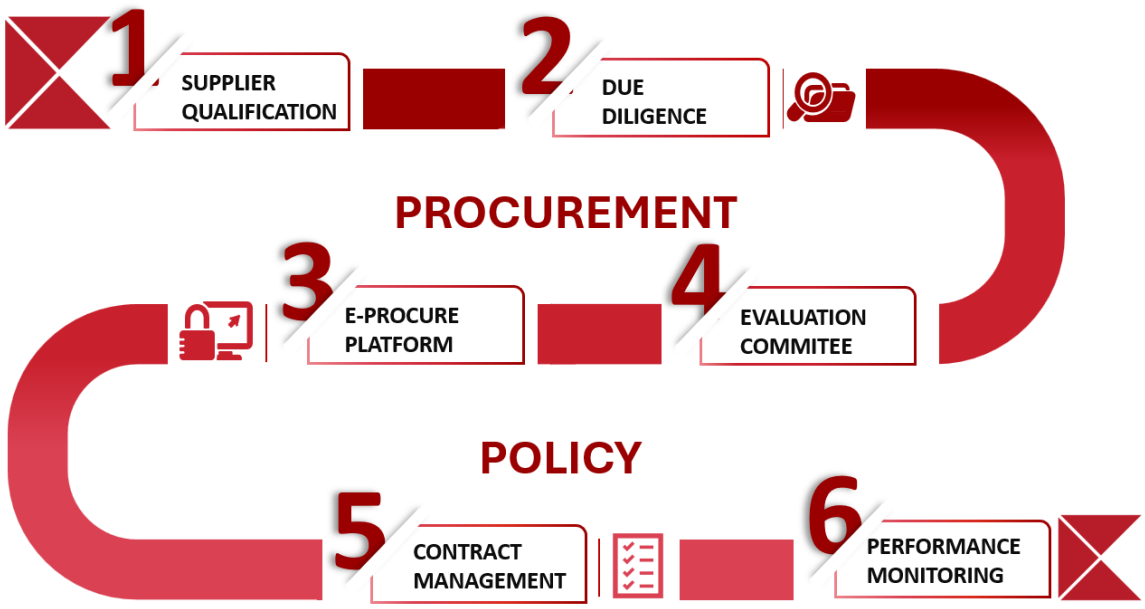
Responsible Sourcing and Procurement

Responsible procurement is central to Kapital Bank's commitment to ethical business practices, operational resilience, and sustainable value creation. Throughout 2025, we continued to

strengthen our procurement framework by enhancing supplier oversight, reinforcing governance mechanisms, and integrating information security considerations across the procurement lifecycle.

Our procurement activities are governed by the Procurement Policy and Procurement and Supply Procedure, which establish clear principles for supplier selection, procurement governance, ethical sourcing, and supplier relationship management (Figure 34). These documents support transparent, fair, and efficient procurement processes while ensuring compliance with applicable legal and regulatory requirements.

Figure 34. Procurement Framework



All prospective suppliers undergo a structured prequalification process, including financial, legal, reputational, and conflict-of-interest assessments. Compliance with ethical business practices, including the prohibition of forced and child labor and adherence to fair working conditions, also forms part of supplier evaluations. Suppliers with access to confidential information are required to comply with our Supplier Information Security Rules, including contractual confidentiality obligations and Non-Disclosure Agreements. Where relevant, suppliers are also assessed against PCI DSS requirements and other cybersecurity controls to safeguard sensitive information.

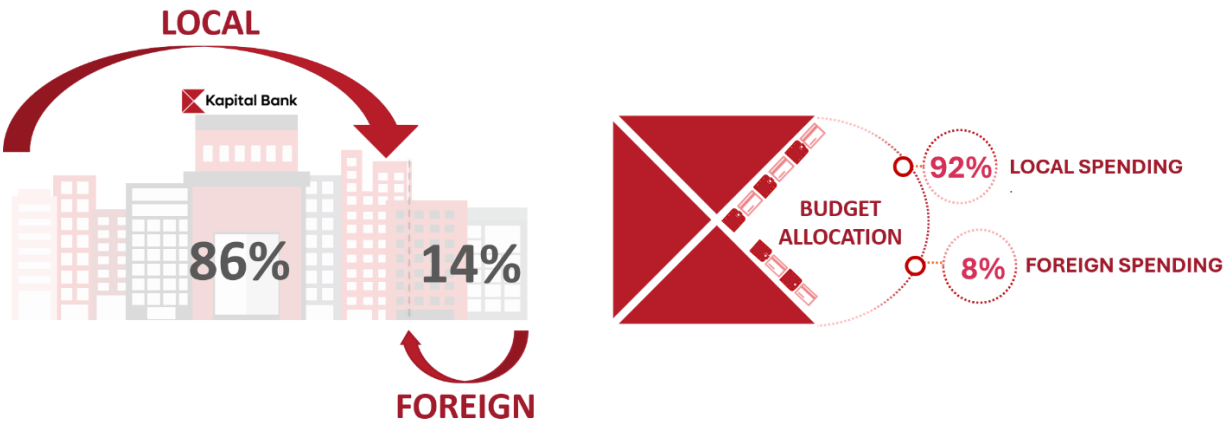
To maintain the integrity of our procurement activities, supplier due diligence includes compliance and fraud reviews, sanctions screening, beneficial ownership verification, and conflict-of-interest assessments. Procurement decisions are overseen through established

governance processes, ensuring transparency, consistency, and accountability throughout the sourcing process. We continue to assess opportunities to further strengthen the integration of environmental and social considerations into supplier assessments as our sustainability practices evolve.

Procurement activities exceeding established thresholds are conducted through the E-procure platform, providing end-to-end transparency and traceability across supplier selection, contract management, and procurement approvals. We also maintain regular engagement with suppliers through performance evaluations, reporting, and ongoing communication, fostering long-term partnerships built on mutual trust and responsible business conduct.

Supporting local businesses remains an important element of our procurement strategy. During 2025, Kapital Bank worked with 971 suppliers, including 839 local suppliers (86%) and 132 foreign suppliers (14%) (Figure 35). This commitment is further reflected in our procurement expenditure, with 92% of the Bank's procurement budget directed to local suppliers, demonstrating our continued contribution to local economic development while maintaining access to specialized international expertise where required.

Figure 35. Supplier Breakdown



By embedding transparency, ethical sourcing, robust due diligence, and information security into our procurement processes, we continue to strengthen a resilient and responsible supply chain that supports the Bank's long-term sustainability objectives.

Digital Transformation and Agile Operations

Digital transformation remains a key enabler of our long-term strategy, supporting the development of customer-centric products, operational efficiency, and data-driven decision-making across the Bank. Many of our digital initiatives, including AI-enabled customer service,

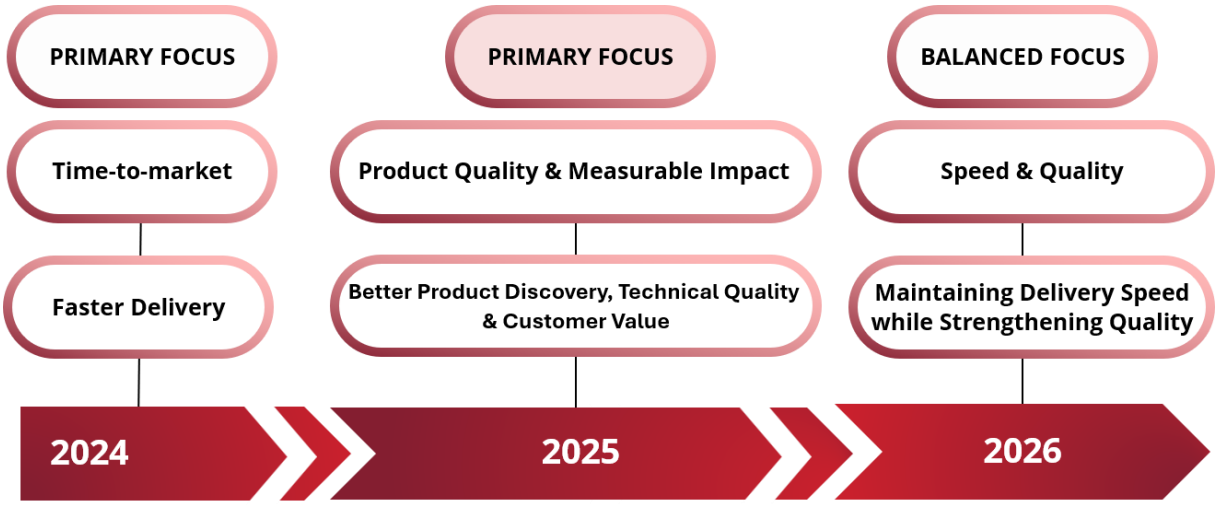
digital banking solutions, and ecosystem development, are discussed throughout this report. Behind these initiatives is our agile operating model, which enables us to translate strategic priorities into products and services. Throughout 2025, we continued strengthening this model by placing greater emphasis on product quality, measurable outcomes, and customer value while maintaining the speed and flexibility needed to respond to changing customer needs and market conditions.

Our agile operating model remains the primary mechanism through which we translate our three-year strategy into products, services, and operational improvements. Strategic priorities are established for each planning cycle and translated into measurable business objectives and initiatives. Once priorities are approved, they are managed through a structured delivery process that keeps day-to-day activities aligned with our long-term strategic objectives.

During 2025, our agile transformation entered a new phase. While previous years primarily focused on reducing time-to-market, we shifted our attention towards improving product quality and creating measurable business impact. Product discovery, technical excellence, and customer value became key priorities throughout the development lifecycle, ensuring that new initiatives are evaluated not only by how quickly they are delivered, but also by the outcomes they achieve.

We supported this shift by further developing our Agile Maturity framework. Teams are assessed using indicators covering product discovery, technical maturity, delivery performance, and the measurable impact of completed initiatives. Business objectives account for most performance indicators (60%), complemented by team scorecards that monitor delivery quality and agile practices. Our agile coaches work closely with teams throughout the year, challenging performance and supporting continuous improvement. Figure 36 highlights how our priorities have evolved over the current strategic period.

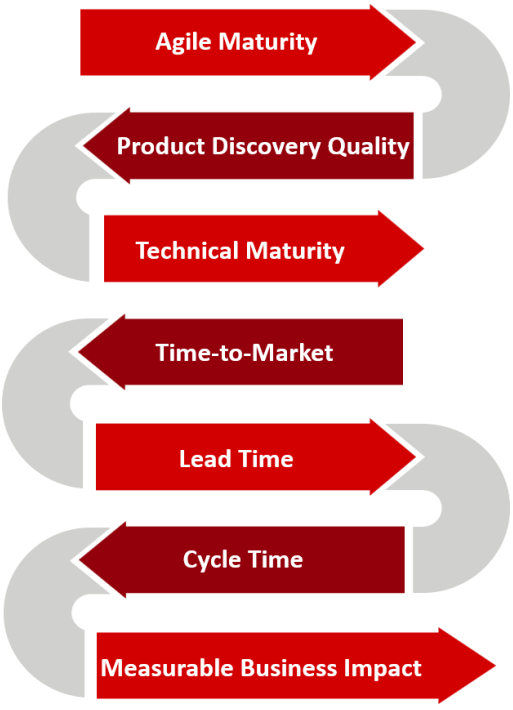
Figure 36. Evolution of Agile Priorities



Customer feedback plays an integral role throughout our product development process. We follow a structured Product Development Lifecycle (PDLC), supported by automated workflows that guide initiatives from idea generation through implementation and post-launch evaluation. Customer needs are systematically incorporated into product backlogs by monitoring the extent to which customer inquiry and complaint themes are reflected in development priorities. This approach helps keep product teams closely aligned with evolving customer expectations while continuously assessing the value delivered after launch.

Alongside process improvements, we continued strengthening our product management culture during the reporting period. A key focus in 2025 was embedding a product mindset across all levels of the organization, from senior leadership to cross-functional delivery teams. This was supported through our Product Management Center, dedicated Growth Programs for agile teams, and ongoing collaboration between business and technology functions. Rather than viewing agile solely as a delivery methodology, teams increasingly adopted a product-oriented approach that emphasizes continuous learning, customer value, and evidence-based decision-making.

Figure 37. Agile Performance Dashboard Key Metrics



We monitor performance across agile teams using automated dashboards that provide continuous visibility over key delivery metrics and support evidence-based decision-making across the organization (Figure 37).

In addition to measuring agile maturity, we plan to assess AI maturity by evaluating how teams use AI in product development processes and decision-making. Dedicated roles, including AI Scrum Masters, will support this transition while ensuring that innovation remains balanced with strong governance, responsible risk management, and compliance.

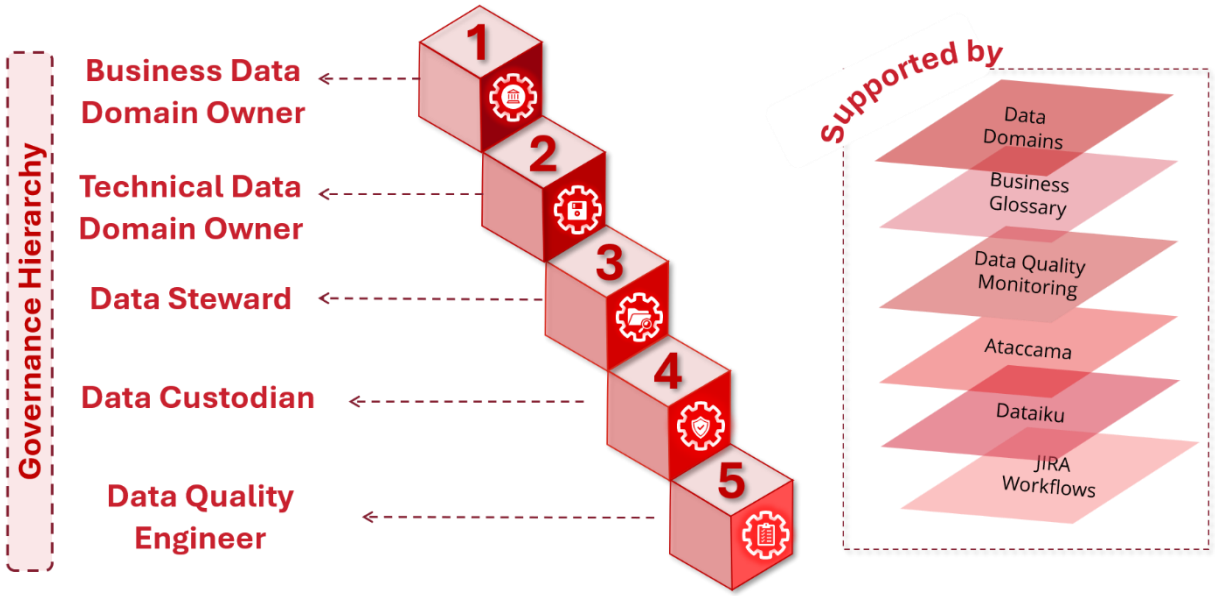
Digital Trust and Data Responsibility

As our digital channels continue to grow, protecting customer information and maintaining secure banking services remain fundamental to customer trust. Throughout 2025, we continued

strengthening both our data governance practices and cybersecurity capabilities while preparing our security organization to support the wider Bir ecosystem. These efforts combine clear governance, secure data management, employee awareness, and continuous monitoring to protect customer information and strengthen operational resilience.

Responsible data management forms the foundation of how we protect customer information and support reliable decision-making across the Bank. We manage data through a structured governance framework that defines clear ownership, quality standards, and responsibilities throughout the data lifecycle. Business and technical data owners, Data Stewards, Data Custodians, and Data Quality Engineers each play defined roles in maintaining data quality, managing access, and supporting the consistent use of information across the organization. Figure 38 illustrates our data governance framework and the key roles responsible for managing customer and business data throughout its lifecycle.

Figure 38. Data Governance Framework



We continue to manage data through standardized governance processes that support every stage of the data lifecycle, from creation and approval to monitoring, retention, and disposal. Standardized data domains, business glossaries, structured approval workflows, and continuous data quality monitoring help ensure that information remains accurate, consistent, and fit for operational, analytical, and reporting purposes.

Access to customer information is managed according to business responsibilities and the principle of least privilege. During the reporting period, we continued applying our Access Control Matrix to ensure employees only access the information required for their roles. As part of our transition to a unified ecosystem operating model, future access permissions will be further aligned with individual business verticals so that employees can only access information relevant

to their assigned area. Identity Management (IDM) capabilities also continue to automate user access throughout the employee lifecycle, including onboarding, role changes, and employee departures, with further integration planned across additional business systems.

As our digital ecosystem continues to expand, we are strengthening our cybersecurity capabilities to protect customers, support secure digital services, and improve operational resilience. During 2025, we continued enhancing both our governance model and technical capabilities while preparing our cybersecurity organization to support the wider Bir ecosystem.

One of the most significant developments during the reporting period was the transition toward a unified cybersecurity model supporting all business verticals. We also developed a three-year cybersecurity roadmap aligned with internationally recognized National Institute of Standards and Technology (NIST) and Cyber Security Assessment Framework (CSAF) frameworks. To strengthen governance, we established dedicated IT Risk, Product Security, and Cyber Fraud functions, while Platform Security and Network Security teams became part of the Information Security function, improving coordination across security operations.

Figure 39. Cybersecurity Maturity Assessment



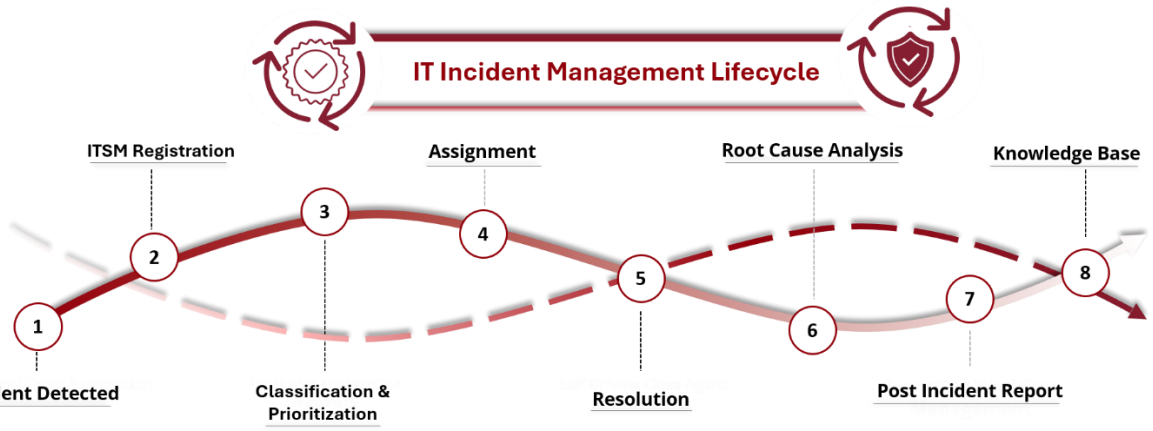
Cybersecurity maturity remains a key performance priority. During 2025, one of our principal departmental KPIs measured maturity against the NIST and CSAF frameworks. Our maturity score improved from 3.06 in 2024 to 3.45 in 2025, reflecting continued progress in strengthening governance and cybersecurity capabilities (Figure 39).

Alongside governance improvements, we continued strengthening our operational security capabilities. Additional fraud prevention controls were introduced within the Birbank application, while enhanced system integrations and updated guidance for call center employees strengthened our response to emerging fraud risks. During the reporting period, we also introduced a database activity monitoring framework to strengthen audit log oversight and monitoring capabilities, with implementation continuing into 2026.

Cybersecurity incidents are managed through a structured incident management process designed to restore services as quickly as possible while identifying opportunities for continuous improvement. All incidents are recorded within a centralized IT Service Management (ITSM) system, classified according to priority and impact, assigned to the appropriate technical teams, and monitored until resolution (Figure 40). Significant incidents are followed by root cause

analysis and Post Incident Reports (PIRs), with lessons learned incorporated into a central knowledge base to reduce the likelihood of recurrence.

Figure 40. IT Incident Management Lifecycle



Managing cybersecurity risks associated with third parties also remained a priority during 2025. We replaced our previous vendor assessment approach with a risk-based tiering model that classifies vendors according to their criticality. Security assessments are now integrated into procurement processes, while critical vendors are monitored through a centralized IT Vendor Register. Additional controls oversee external network connections and support rapid disconnection where elevated risks are identified.

Building a strong cybersecurity culture remains equally important. Throughout the year, employees completed cybersecurity awareness training through onboarding programs, regular awareness campaigns, Cyber Cards, Cyber Journals, and additional training sessions for employees in regional branches. We also conducted crisis simulations and ransomware tabletop exercises to test business continuity arrangements, strengthen incident response capabilities, and improve organizational preparedness.

Strengthening Our Human Capital

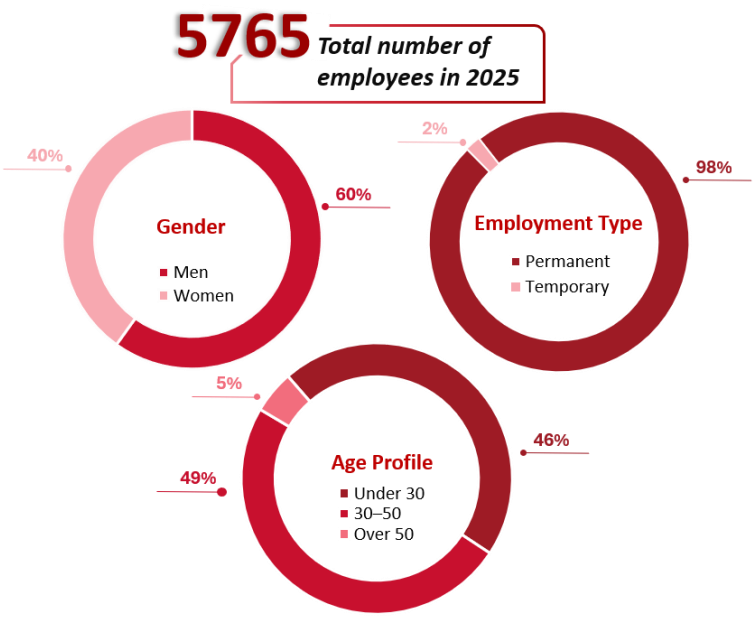
People are central to our long-term success and our ability to deliver on our strategic priorities. Our Human Resources approach focuses on attracting, developing, engaging and retaining talent while fostering an inclusive, high-performing workplace. Our people practices are guided by common policies and frameworks covering workforce planning, recruitment, performance management, learning and development, succession planning, employee engagement, remuneration and employee relations. We regularly monitor workforce indicators, including recruitment, retention, turnover, training participation, employee engagement and internal

mobility, to assess the effectiveness of our human capital strategy and support continuous improvement.

Throughout 2025, we continued strengthening our approach to human capital management by aligning our people initiatives with evolving business needs and the expansion of the wider Bir ecosystem. As our organization continued to grow and evolve, we introduced several initiatives to strengthen talent management, enhance employee development, improve HR processes, and create more consistent employee experience across the ecosystem.

One of the key developments during the year was the expansion of our Talent Management function beyond Kapital Bank to support the wider Bir ecosystem. This enabled a more integrated approach to workforce planning, recruitment, learning and development, performance management, succession planning, and employee experience across ecosystem companies. To support this transformation, we also established dedicated HR Technology squads responsible for accelerating the digitalization of HR processes and developing digital solutions that enhance HR services for both employees and managers. During the year, we further introduced AI-supported HR solutions, including AI-assisted recruitment tools and an HR chatbot, supporting more efficient recruitment processes and improving employees' access to HR services.

Figure 41. Workforce at a Glance

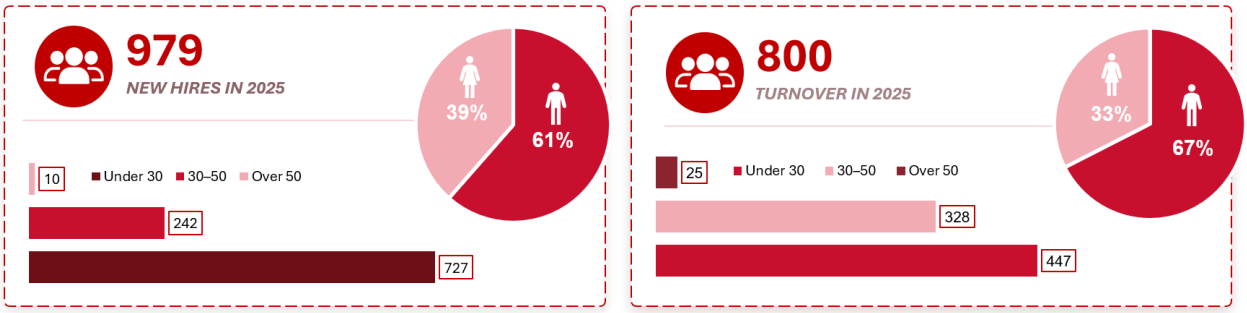


At the end of 2025, our workforce comprised 5,765 employees, reflecting the continued growth of our business (Figure 41). We continued working closely with business units to identify workforce needs, monitor capability requirements, and support business planning through workforce analytics, employee feedback, and collaboration across Human Resources and management teams.

Alongside strengthening workforce planning, we continued investing in attracting, developing, and retaining talent. Recruitment activities remain focused on identifying professionals with the skills required to support both our existing operations and our future business priorities. Recruitment is based on standardized, competency-based assessment processes designed to promote merit-based hiring, consistency and equal opportunity, while digital recruitment technologies and workforce analytics support data-driven hiring decisions. We continued collaborating with leading

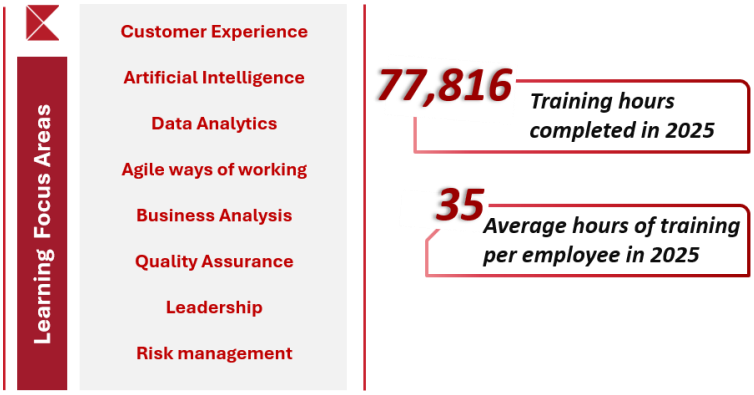
universities, using employee referral programs, professional recruitment channels, and targeted talent initiatives to build a strong pipeline of candidates. During 2025, we welcomed 979 new employees, with a particular focus on attracting early-career professionals. At the same time, we continued monitoring employee turnover and workforce trends to better understand changing workforce needs and inform future recruitment activities (Figure 42).

Figure 42. Recruitment in 2025



Developing employee capabilities remained an important priority throughout 2025. One of the most significant milestones during the year was the launch of "X Space", our centralized Learning and Development hub that integrates classroom and digital learning, coaching, mentoring, leadership programs, language courses, professional certifications, and knowledge-sharing initiatives into a single learning environment.

Figure 43. Learning and Development



Individual Development Plans, coaching, mentoring, succession planning, and the Leadership DNA framework continued supporting employee growth and career development, while internal experts remained actively involved in delivering learning programs and sharing business knowledge across the organization. During the year, employees completed more than 77,800 training hours, reflecting our continued investment in learning and professional development (Figure 43).

Alongside learning and development, we continued strengthening the overall employee experience by listening to employee feedback and using those insights to improve workplace practices. Throughout the year, we gathered employee perspectives through engagement surveys, pulse surveys, stay interviews, exit interviews, focus groups, Town Halls, and

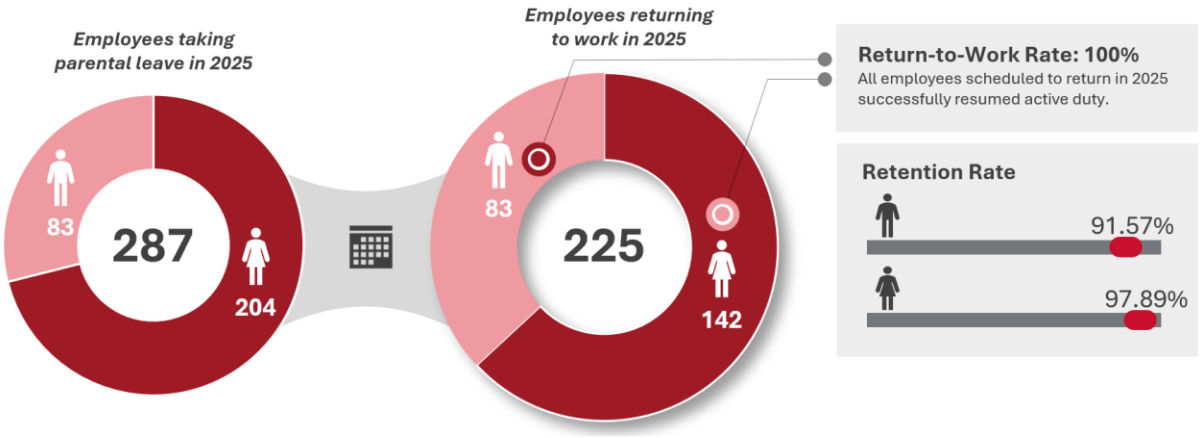
Organizational Health Index (OHI) assessments (Figure 44). The results informed action plans developed jointly by Human Resources and business units, supporting continuous improvements to employee experience across the organization.

Figure 44. Organizational Health Index



Employee wellbeing remains an important part of our people agenda. During the year, we continued supporting employees through well-being initiatives, employee engagement activities, internal communication through the 360 Intranet, and flexible working arrangements where appropriate. We also continued supporting employees at different stages of their personal and professional lives, including through our parental leave arrangements (Figure 45). The Bank's remuneration framework combines fixed compensation, performance-based incentives linked to individual and business performance, and a range of monetary and non-monetary benefits designed to support employee wellbeing, engagement and long-term retention.

Figure 45. Parental Leave



Occupational health and safety is also an important part of our approach to employee wellbeing. Guided by our Occupational Safety and Technical Security Instruction, we work to prevent workplace injuries, occupational illnesses and other safety risks. A dedicated Occupational Safety Officer is responsible for overseeing health and safety practices, carrying out regular workplace inspections and monitoring compliance with safety requirements. All employees receive mandatory health and safety training when they join the Bank, followed by regular refresher training on topics such as emergency response, fire safety, workplace hygiene and safe working practices. We also require contractors and suppliers working on our premises to comply with the

Bank's occupational health and safety requirements, helping promote safe working conditions across our operations.

We are committed to providing a workplace based on respect, fairness and equal opportunity in accordance with the Labour Code of the Republic of Azerbaijan and our Code of Ethics. Human Resources policies promote merit-based recruitment, objective performance management, equitable access to learning and career development, and protection from discrimination, harassment and retaliation.

During 2025, we continued implementing diversity and inclusion initiatives, including DEI Talks, women empowerment programs, sign language training, post-maternity support initiatives, and DEI learning opportunities through the UN Global Compact Academy. Employees also continued to have access to established reporting channels for raising workplace concerns, reporting misconduct, seeking guidance and raising hazards and safety concerns. All reported concerns are reviewed through established governance processes. Our commitment to fostering an inclusive workplace was also reflected in the continued growth of workforce representation, with the number of employees with disabilities increasing by 26% reaching 288 in 2025.

Our Role in Society

Creating long-term value extends beyond our banking services. Through strategic partnerships, community investment and employee engagement, we continue supporting initiatives that contribute to education, entrepreneurship, inclusion, environmental protection and community wellbeing across Azerbaijan. Our corporate social responsibility approach focuses on creating sustainable social impact by addressing societal needs while supporting the long-term development of the communities in which we operate.

Red Hearts Foundation

Established in 2020 through the initiative of a group of Kapital Bank employees, the Red Hearts Foundation serves as a key pillar of the Bank's corporate social responsibility approach. During 2025, the Foundation implemented numerous environmental initiatives.

Environmental Sustainability

- The Zero Waste Solidarity Marathon covered 20 cities and districts across three economic regions, resulting in the collection of 2,365 kg of hazardous waste.
- Through the "Return Batteries, Protect Nature" campaign, 226 battery collection containers were installed at 138 collection points, enabling the collection and responsible disposal of 961 kg of used batteries.
- Through the Heroes' Garden initiative, 543 trees were planted in Mingachevir and Shirvan in memory of fallen heroes.

Community Well-being and Social Support

- Community development initiatives included commissioning sub-artesian water wells in three villages of the Khachmaz district, providing access to water for 2,874 residents.
- The Foundation also continued supporting vulnerable communities through six humanitarian aid campaigns, providing food assistance amounting to AZN 98,369 to 1,237 families, while 25 families continued receiving ongoing support.
- Through the "Heroes Who Made History" initiative, two families of martyrs received new homes and three veterans benefited from home renovation support, with total assistance amounting to AZN 135,826.
- The "They Are Entrusted to Us" initiative reached 78 cities and districts, delivering New Year gifts on behalf of their fathers to 1,800 children of martyrs.

Education and Inclusion

- Through the Red Hearts Scholarship Program, awarding scholarships totaling AZN 39,540 to 23 university students, while announcing scholarships for an additional 20 students for the 2025–2026 academic year.
- International education was also supported through funding for one student's master's studies at Aalto University in Finland and financial assistance for another student to undertake an inclusion-focused learning program at the Camphill Community in the United States, with total support amounting to AZN 16,000.
- Through the "Every Body Speaks" initiative, 396 people with disabilities and 191 participants without disabilities jointly participated in an interactive dance program based on the DanceAbility methodology.
- On 1 June, International Children's Day, the "Everything is Possible" initiative organized an inclusive dance workshop involving 19 children with Down syndrome, 25 parents and additional participants.

Employee Engagement

- During 2025, the Foundation also adopted its first Corporate Volunteering Concept, establishing a structured framework to promote volunteering across the corporate environment by encouraging employees to participate in social projects.
- By the end of the reporting year, 318 corporate volunteers had registered with the Foundation, including 268 Kapital Bank employees, further reinforcing employee engagement in community initiatives.

Education and Lifelong Learning

YAŞA Centers

Kapital Bank continues to support YAŞA Centers with the aim of improving the quality of life of retirees and promoting active and meaningful ageing. Implemented in partnership with the Third Bahar Public Union since 2017, the initiative has engaged more than 45,000 pensioners across Baku, Mingachevir and Shamakhi.

The centers provide opportunities for lifelong learning through creative workshops, computer and language courses, healthy lifestyle awareness sessions, sports, yoga and social entrepreneurship activities. During 2025, 434 training sessions and community activities were organized. Our employees also contributed as volunteer mentors by delivering training on financial literacy, legal awareness and information security, and helping participants strengthen practical skills for everyday life.

"Dəyişiklik səndən başlayır"

Kapital Bank initiated and sponsors the "Change Starts with You" project, implemented by the “Dərs Evi” Education Centre with the support of the Institute of Education of the Republic of Azerbaijan, to contribute to the prevention of bullying and promote healthier school environments.

The project aims to raise awareness among students, parents and teachers while strengthening schools' capacity to prevent and address bullying. The initiative commenced at Secondary School No. 18, where international experts delivered specialized training to teachers from the “Dərs Evi” Education Centre. The trained educators will subsequently deliver training programs to teachers across general education schools, extending the program's impact through a train-the-trainer approach.

"Arzumuz Var" Scholarship Program

Kapital Bank continues to implement the "Arzumuz Var" Scholarship Program to improve educational opportunities for girls from vulnerable social groups. Implemented under a memorandum signed with the State Committee for Family, Women and Children's Affairs, the program supports girls' educational attainment, social participation and long-term development.

Scholarships are provided to cover university preparation expenses for girls from low-income families living in Baku, Qusar, Goychay, Aghjabadi, İsmayilli, Qaxh, Khojaly, Gabala and Lankaran. Since the programs launch, five scholarship recipients have successfully entered higher education institutions. During 2025, educational expenses and preparatory programs were funded for 13 additional university applicants. Support continues after participants enter university, contributing to their continued educational development.

Entrepreneurship Empowerment

Entrepreneur's Day Fair

To support regional entrepreneurship and small business development, Kapital Bank organized a business fair in Ganja on 26–27 April 2025 to mark Entrepreneur's Day.

The initiative enabled selected Birbank Business customers to market and sell their products without additional participation costs. Eligible participants included active Birbank Business users operating in Ganja and neighboring regions who utilize the Bank's physical POS terminals, Mobile POS or Click to Pay payment solutions.

"Women First in Every Business" Fair

Ahead of International Women's Day, Birbank Business organized the "Women First in Every Business" fair to support women entrepreneurs and encourage the growth of women-led businesses.

Held on 6–7 March 2025, the initiative brought together 60 women entrepreneurs, providing opportunities to showcase products and services, establish new business partnerships and exchange professional experience. During the event, Birbank Business announced discounts of up to 8% on microloans for women entrepreneurs throughout March and introduced a program of free business management training, delivered by Birbank Business specialists from June 2025, to strengthen participants' entrepreneurial capabilities. Panel discussions featuring experienced entrepreneurs complemented the program by sharing practical business insights and success stories.

"She's Next Empowered by Visa"

Kapital Bank, through Birbank Business, partnered with Visa to deliver the third edition of the global "She's Next Empowered by Visa" initiative in Azerbaijan.

The program, launched on 16 May 2025 and running for nearly three months, combined entrepreneurship education, mentoring and a business competition to support women-led enterprises. More than 400 women entrepreneurs applied across the Small and Medium-sized Enterprise and Microbusiness categories.

All participants received access to free online learning through the She's Next platform, while finalists benefited from mentoring by experienced professionals before presenting their business ideas to an expert jury during the final event held in Baku on 11 July 2025.

Based on the jury's evaluation, financial awards were presented to winners across both categories to support further business development. During the program, Visa and Birbank Business also introduced Azerbaijan's first co-branded She's Next Business Card, offering women entrepreneurs tailored banking products and additional business benefits.

Innovation and Knowledge Sharing

DevDay 2025

Together with Visa, Kapital Bank organized DevDay 2025 on 11 October, bringing together more than 200 members of Azerbaijan's technology community.

The event provided a platform for specialists from the Bank's Development, Quality Assurance, DevOps, Site Reliability Engineering and IT Business Analysis teams to share practical experience gained through the development of Kapital Bank's digital solutions. Presentations covered both successful implementation outcomes and the engineering challenges encountered throughout project delivery, contributing to knowledge sharing and professional development within the local technology ecosystem.

Inclusion and Accessible Banking

“Səssizliyə Son”

During 2025, Kapital Bank introduced the country's first sign-language video call banking service, making banking services more accessible for customers with hearing and speech impairments.

The initiative reflects not only a technological advancement but also the commitment of our employees, who completed an extensive preparation process involving sign language training, examinations and specialized practical courses to provide high-quality customer service. Building on this initiative, we also launched the "Biz əl-ələ olsaq, heç bir əngəl qalmaz!" educational series, providing banking terminology and practical guidance in sign language to help customers better understand banking products and services and navigate their daily banking experience more independently.

Our Environmental Footprint

Looking Ahead

As we look ahead, Kapital Bank remains committed to creating long-term value by combining responsible business practices with continuous innovation. Building on the progress achieved in 2025, we will continue advancing our strategic priorities by strengthening the Bir ecosystem,

enhancing digital transformation and leveraging artificial intelligence to deliver more integrated, personalized and accessible financial services.

AI and data-driven technologies will continue to play an increasingly important role across our operations, supporting enhanced customer experiences, more efficient processes, informed decision-making and responsible risk management. At the same time, we will further develop the Bir ecosystem to provide customers with an integrated digital experience that connects financial and everyday services through innovative, customer-centric solutions.

As stakeholder expectations and the sustainability landscape continue to evolve, we will continue strengthening our approach to responsible business while further advancing our sustainability efforts across the Bank. We also aim to enhance transparency and reinforce our governance, cybersecurity, data protection, and financial inclusion practices across our operations. We remain committed to investing in our people, supporting entrepreneurship and creating positive social impact through the communities we serve.

Through these efforts, we aim to create lasting value for our stakeholders, strengthen the resilience of our business and contribute to Azerbaijan's sustainable economic and digital development.

Performance Tables

Financial

Economic indicators, thousands AZN	2023	2024	2025
Capital Investment	1,804,474	3,365,343	3,071,563
Total assets	8,794,319	11,553,494	11,499,104
Total capitalization	1,121,080	1,220,761	1,453,864
Total revenues	1,096,759	1,415,647	1,785,283
Retail loan portfolio amount	2,322,391	2,893,423	3,044,240
Corporate loan portfolio amount	983,695	1,095,862	1,060,940
Mortgage portfolio amount	571,201	609,307	595,088
Individual entrepreneurs	370,721	570,097	635,222
Total deposit portfolio amount	6,464,415	9,051,456	8,482,158
Economic value distributed	(456,449)	(582,228)	(784,748)
Operating expenses	(173,707)	(212,428)	(256,549)
Payments to the state budget, including	(147,652)	(120,667)	(152,219)
Profit tax	(92,568)	(67,162)	(94,739)
Property tax	(1,049)	(875)	(1,088)
Withholding tax	(27,401)	(18,981)	(19,195)
Land tax	(30)	(28)	(25)
SSPF charges	(26,604)	(33,621)	(37,172)
Interest payments	(115,009)	(228,051)	(354,721)
Community investments, including	(20,081)	(21,082)	(21,259)
Contributions to charities, NGOs and research institutes (unrelated to the organization's commercial research and development)	(14,436)	(13,762)	(15,113)
Funds to support community infrastructure, such as recreational facilities	(317)	(503)	(391)
Direct costs of social programs, including arts and educational events	(5,328)	(6,817)	(5,755)
Other expenses	0	0	0
Economic value retained	640,310	833,419	1,000,535

Governance

Anti-competitive behaviour	2023	2024	2025
Total amount of monetary losses as a result of legal proceedings associated with anti-competitive behavior regulations, *AZN*	0	0	0

Compliance with laws and regulations	2023	2024	2025
Total number of significant instances of non-compliance with laws and regulations, including	0	0	0
instances for which fines were incurred	*0*	*0*	*0*
instances for which non-monetary sanctions were incurred	*0*	*0*	*0*
Total monetary value of fines for instances of non-compliance with laws and regulations that were paid during the reporting period, AZN	0	0	0

General Legal requirements	2023	2024	2025
Number of legal actions pending regarding anti-competitive behavior and violations of anti-trust and monopoly legislation	0	0	0
Number of legal actions completed during the reporting period regarding anti-competitive behavior and violations of anti-trust and monopoly legislation	0	0	0
Total number of operations that have been subject to human rights reviews or human rights impact assessments	0	0	0

Percentage of operations that have been subject to human rights reviews or human rights impact assessments	0	0	0
Total number of complaints regarding data privacy received from:	0	0	0
Third parties	*0*	*0*	*0*
Regulatory bodies	*0*	*0*	*0*
Total number of identified leaks, thefts, or losses of customer data	0	0	0
Total number of identified data breaches	0	0	0

Anti-corruption	**2023**	**2024**	**2025**
Percentage of operations assessed for risks related to corruption	0	0	0
Total number of governance body members that the organization's anti-corruption policies and procedures have been communicated to	478	592	523
Percentage of governance body members that the organization's anti-corruption policies and procedures have been communicated to	100	100	100%
Total number of employees that the organization's anti-corruption policies and procedures have been communicated to, by category	5,313	5,586	5828
Executive	*478*	*592*	*523*
Specialist	*4,619*	*4,777*	*4,832*
Technician	*216*	*217*	*473*

Other	*0*	*0*	*0*
Percentage of employees that the organization's anti-corruption policies and procedures have been communicated to, by category	100	100	100
Total number of business partners (e.g. suppliers) that the organization's anti-corruption policies and procedures have been communicated to, by category	864	952	1,214
Percentage of business partners (e.g. suppliers) that the organization's anti-corruption policies and procedures have been communicated to	100	100	100
Total number of governance body members that have received training on anti-corruption	478	592	523
Percentage of governance body members that have received training on anti-corruption	100	100	100
Total number of employees that have received training on anti-corruption	4,288	5,586	4,063
Percentage of employees that have received training on anti-corruption	100	100	100
Total number of confirmed incidents of corruption	0	0	0
Total number of confirmed incidents in which employees were dismissed or disciplined for corruption	0	0	0
Total number of confirmed incidents when contracts with business partners were terminated or not renewed due to violations related to corruption	0	0	0

Suppliers	**2023**	**2024**	**2025**
Total number of suppliers	864	952	971
Total number of local suppliers	763	823	839
Total number of foreign suppliers	101	129	132
Proportion of suppliers by location, % from total:			

Local suppliers	*88*	*86*	*86*
Foreign suppliers	*12*	*14*	*14*

Procurement	2023	2024	2025
Share of the procurement budget that is spent on local suppliers/contractors, % from total budget	86	89	92

Operational

Customers	2023	2024	2025
Number of active total customers	3,836,309	4,083,655	
Number of active individual customers	3,638,261	3,810,371	
Number of active corporate customers	34,369	228,743	
Number of active individual entrepreneurs	163,679	44,541	
Amount of cashbacks returned to customers, AZN	63,035,821	57,788,242	
Number of active internet banking users	11,733	13,092	
Number of active Birbank users (mobile users)	2,682,790	3,219,052	
Number of newly registered Birbank users (mobile users)	133,392	126,747	
Net Promoter Score (NPS) indicator, %			
Retail	*41*	*47.5*	
SME	*45*	*51.5*	
Number of customers, by category:			
Corp (Large business customers)	6,788	6,841	
SME	18,979	20,228	
Micro	66,972	112,415	
Number of lending customers	2,142,726	2,881,665	
Amount of customer deposits, AZN thsd	6,464,415	9,051,456	

Service	2023	2024	2025
Number of debit cards	6,142,042	7,197,076	
Number of credit cards	888,619	975,457	
Number of active salary cards	1,342,132	1,282,018	
Number of pension cards	708,432	733,763	
Total amount of money transfers in AZN (Domestic and Transfers Abroad)	39,650,856,740	47,924,335,310	
Number of branches, by categories	158	172	

Number of ATMs, by categories	1,030	1,107	
Baku	*501*	*541*	
Regions	*529*	*566*	
Number of digital offices	2	2	

Social

Employees, by gender	2023		2024		2025	
	Male	Female	Male	Female	Male	Female
Total number of employees, by gender and category	3,271	2,042	3,391	2,195	3453	2312
Executive	*13*	*4*	*15*	*4*	15	2
Management	*389*	*72*	*483*	*90*	421	96
Professional	*2,832*	*1,787*	*2,856*	*1,921*	2751	2027
Support staff	*37*	*179*	*37*	*180*	266	187
Total number of employees by employment type	3,271	2,042	3,391	2,195	3453	2312
Total number of permanent employees	*3,247*	*1,982*	*3,369*	*2,135*	3416	2242
Total number of temporary employees	*24*	*60*	*22*	*60*	37	70
Total number of employees by employment contract	3,271	2,042	3,391	2,195	3453	2312
Total number of full-time employees	*3255*	*2,022*	*3,377*	*2,186*	3436	2302
Total number of part-time employees	*16*	*20*	*14*	*9*	17	10

Employees, by age	2023			2024			2025		
	Under 30	30-50	Over 50	Under 30	30-50	Over 50	Under 30	30-50	Over 50
Total number of employees, by age and by category	2,732	2,290	291	2,690	2,604	292	2633	2838	294
Executive	*0*	*14*	*3*	*0*	*15*	*4*			
Management	*20*	*410*	*31*	*42*	*510*	*21*			
Professional	*2,708*	*1,759*	*152*	*2644*	*1980*	*153*			
Support Staff	*4*	*107*	*105*	*4*	*99*	*114*			

Parental leave	2023		2024		2025	
	Male	Female	Male	Female	Male	Female
Total number of employees that were entitled to parental leave, by gender	3,271	2,042	3,391	2,195	3453	2312

Total number of employees that took parental leave, by gender	50	218	61	183	83	204
Total number of employees that returned to work in the reporting period after parental leave ended	50	136	61	118	83	142
Total number of employees due to return to work after taking parental leave, by gender	50	136	61	118	83	142
Total number of employees that returned to work after parental leave ended that were still employed 12 months after their return to work, by gender	44	134	53	113	76	139
Return to work rate of employees that took parental leave, by gender	100	100	100	100	100	100
Retention rate of employees that took parental leave, by gender	88	98.53	86.89	95.76	91.57	97.89

New employee hires and employee turnover, by gender	2023		2024		2025	
	Male	Female	Male	Female	Male	Female
Total number of new employee hires	652	429	634	395	602	377
Total number of employee turnover	402	194	514	242	540	260
Rate of employee turnover, by gender	0.12	0.10	0.15	0.11	0.16	0.11
Rate of employee turnover, %	11.0%		13.5%		13%	

New employee hires and employee turnover, by age	2023			2024			2025		
	Under 30	30-50	Over 50	Under 30	30-50	Over 50	Under 30	30-50	Over 50
Total number of new employee hires	850	223	8	776	243	10	727	242	10
Total number of employee turnover	349	200	47	417	300	39	447	328	25
Rate of employee turnover	13%	9%	16%	16%	12%	13%	17%	12%	9%

Senior management hired from local community	2023	2024	2025
Percentage of senior management hired from the local community	1	1	3
Senior management hired, total	2	2	0

Talent development	2023		2024		2025	
	Male	Female	Male	Female	Male	Female
Total number of training hours	38,208	19,167	61,405	34,217	52,365	25,451
Average number of training hours provided to employees, by category	42.21	37	86.18	77.12	35.08	35.11
Executive	*14.07*	*14.4*	*42*	*16*	11	12
Specialist	*11.62*	*10.81*	*28*	*44*	12	9
Professional	*10.67*	*8.82*	*17*	*16*	8	12
Support Staff	*5.85*	*2.97*	*1*	*1*	4	2
Percentage of total employees who received a regular performance and career development review, by category	100	100	100	100		

Employee engagement	2023	2024	2025
Organizational health indicator (OHI) score	84	87	90
Engagement score	90	92	-

Diversity of governance bodies, by gender	2023		2024		2025	
	Male	Female	Male	Female	Male	Female
Total number of individuals within the governance bodies, by gender	9	1	9	1	11	2

Diversity of governance bodies, by age	2023			2024			2025		
	Under 30	30-50	Over 50	Under 30	30-50	Over 50	Under 30	30-50	Over 50
Number of individuals within the governance bodies, by age	0	9	1	0	9	1	0	11	2

Diversity of employees	2023	2024	2025
Number of employees with disabilities	228	229	288

Non-discrimination	2023	2024	2025
Total number of incidents of discrimination	0	0	0

Ratio of salary, by gender	2023		2024		2025	
	Male	Female	Male	Female	Male	Female
Ratio of standard entry-level wage compared to local minimum wage, by gender	1.93	1.72	2.49	1.64	1.88	1.55
Ratio of the basic salary of women to men, including	0.89		0.66		0.82	

Annual total compensation ratio	2023	2024	2025
Ratio of the annual total compensation for the organization's highest-paid individual to the median annual total compensation for all employees (excluding the highest paid individual)	556%	588%	508%
Ratio of the percentage increase in annual total compensation for the organization's highest-paid individual to the median percentage increase in annual total compensation for all employees (excluding the highest-paid individual)	92%	106%	86%

Occupational health and safety	2023	2024	2025
Total Number of hours worked	10,200,960	11,025,800	13,305,600
Number of hours worked per employee	1,920	1,901	2,112
Number of fatalities	0	0	0
Fatality rate	0	0	0
Number of recordable injuries	0	3	2
Injury frequency rate (per 200,000 hours worked)	0	0	0
Number of Lost Time Injuries (LTI)	0	3	
LTI Frequency Rate (LTIFR) (per 200,000 hours worked)	0	0	0

Number of fatalities as a result of work-related ill health	0	0	0
Number of cases of recordable work-related ill health	0	0	0
Number of cases of recordable work-related ill health	0	0	0

OHS training	2023	2024	2025
Number of conducted OHS trainings	40	6	8
Number of employees who received OHS training	1,642	859	523
	179	48	30
Percentage of employees who received OHS training	99.5	99.5	90.00%
OHS training hours	80	48	92

Environment

Emission indicators	2023	2024	2025
Emission intensity per employee	1.42	1.39	
Emission intensity per revenue	0.007	0.006	

Water indicators	2023	2024	2025
Total water withdrawal, thousand cubic meters	79,951	43,364	
Total freshwater withdrawal, thousand cubic meters	298.6	385.3	

Waste indicators	2023	2024	2025
Total weight of hazardous waste generated, tons	0	0	

GRI Index

Statement of Use		Kapital Bank has reported in accordance with GRI standards for the period: 01.01.2025 - 31.12.2025	
GRI 1 used		GRI 1: Foundation 2021	
GRI Standard / Other source	Disclosure	Status	Section
General Disclosures			
GRI 2: General Disclosures 2021	2-1 Organizational details	Disclosed	About the Report
	2-2 Entities included in the organization's sustainability reporting	Disclosed	About the Report
	2-3 Reporting period, frequency and contact point	Disclosed	About the Report
	2-4 Restatements of information	Disclosed	No restatements of previously reported information were made during the reporting period.
	2-5 External assurance	Disclosed	Limited assurance statement
	2-6 Activities, value chain and other business relationships	Disclosed	About Us
	2-7 Employees	Disclosed	Strengthening Our Human Capital
	2-8 Workers who are not employees	Not Applicable	Kapital Bank employs only direct employees and does not engage workers who are not employees.
	2-9 Governance structure and composition	Disclosed	Corporate Governance: Responsible Leadership and Oversight
	2-10 Nomination and selection of the highest governance body	Disclosed	Corporate Governance: Responsible Leadership and Oversight
	2-11 Chair of the highest governance body	Disclosed	Corporate Governance: Responsible Leadership and Oversight
	2-12 Role of the highest governance body in overseeing the management of impacts	Disclosed	Corporate Governance: Responsible Leadership and Oversight
	2-13 Delegation of responsibility for managing impacts	Disclosed	Corporate Governance: Responsible Leadership and Oversight

	2-14 Role of the highest governance body in sustainability reporting	Disclosed	Corporate Governance: Responsible Leadership and Oversight
	2-15 Conflicts of interest	Disclosed	Ethics, Compliance, and Financial Crime Prevention
	2-16 Communication of critical concerns	Disclosed	Ethics, Compliance, and Financial Crime Prevention
	2-17 Collective knowledge of the highest governance body	Disclosed	Corporate Governance: Responsible Leadership and Oversight
	2-18 Evaluation of the performance of the highest governance body	Disclosed	Corporate Governance: Responsible Leadership and Oversight
	2-19 Remuneration policies	Disclosed	Strengthening Our Human Capital
	2-20 Process to determine remuneration	Disclosed	Strengthening Our Human Capital
	2-21 Annual total compensation ratio	Disclosed	Performance Tables
	2-22 Statement on sustainable development strategy		
	2-23 Policy commitments	Disclosed	Ethics, Compliance, and Financial Crime Prevention
	2-24 Embedding policy commitments	Disclosed	Ethics, Compliance, and Financial Crime Prevention
	2-25 Processes to remediate negative impacts	Disclosed	Ethics, Compliance, and Financial Crime Prevention
	2-26 Mechanisms for seeking advice and raising concerns	Disclosed	Ethics, Compliance, and Financial Crime Prevention
	2-27 Compliance with laws and regulations	Disclosed	Ethics, Compliance, and Financial Crime Prevention
	2-28 Membership associations	Disclosed	Kapital Bank is the member of Azerbaijan Banks Association.
	2-29 Approach to stakeholder engagement	Disclosed	Engaging with our Stakeholders
	2-30 Collective bargaining agreements	Disclosed	No collective bargaining agreements were in effect during the reporting period.
Material Topics			
GRI 3: Material Topics 2021	3-1 Process to determine material topics	Disclosed	Scope and Boundaries
	3-2 List of material topics	Disclosed	Scope and Boundaries
	3-3 Management of material topics	Disclosed	Scope and Boundaries

Economic Performance			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Scope and Boundaries
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	Disclosed	Driving Long-Term Economic Value
	201-2 Financial implications and other risks and opportunities due to climate change	Disclosed	Kapital Bank plans to consider the risks that may arise as a result of climate change and the available opportunities.
	201-3 Defined benefit plan obligations and other retirement plans	Disclosed	The Bank's defined benefit plan obligations and other retirement plans are governed in accordance with the provisions set forth in the Labor Code of the Republic of Azerbaijan.
	201-4 Financial assistance received from government	Disclosed	Kapital Bank did not receive any financial assistance from the government during the reporting period.
Market Presence			
GRI 202: Market Presence 2016	202-1 Ratios of standard entry level wage by gender compared to local minimum wage	Disclosed	Performance Tables
	202-2 Proportion of senior management hired from the local community	Disclosed	Performance Tables
Indirect Economic Impact			
GRI 203: Indirect Economic Impacts 2016	203-1 Infrastructure investments and services supported	Disclosed	Driving Long-Term Economic Value
	203-2 Significant indirect economic impacts	Partially Disclosed	Driving Long-Term Economic Value
Procurement Practices			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Responsible Sourcing and Procurement
GRI 204: Procurement Practices 2016	204-1 Proportion of spending on local suppliers	Disclosed	Responsible Sourcing and Procurement
Anti-corruption			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Ethics, Compliance, and Financial Crime Prevention
GRI 205: Anti-corruption 2016	205-1 Operations assessed for risks related to corruption	Disclosed	Ethics, Compliance, and Financial Crime Prevention

	205-2 Communication and training about anti-corruption policies and procedures	Disclosed	Performance Tables
	205-3 Confirmed incidents of corruption and actions taken	Disclosed	Performance Tables
Anti-competitive behavior			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Ethics, Compliance, and Financial Crime Prevention
GRI 206: Anti-competitive Behavior 2016	206-1 Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	Disclosed	Performance Tables
Tax			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Driving Long-term Economic Value
GRI 207: Tax 2019	207-1 Approach to tax	Disclosed	Driving Long-term Economic Value
	207-2 Tax governance, control, and risk management	Disclosed	Driving Long-term Economic Value
	207-3 Stakeholder engagement and management of concerns related to tax	Disclosed	Driving Long-term Economic Value
	207-4 Country-by-country reporting	Not Applicable	Kapital Bank operates solely within the jurisdiction of Azerbaijan.
Materials			
GRI 301: Materials 2016	301-1 Materials used by weight or volume	Not Applicable	As a financial institution, Kapital Bank does not engage in production processes that involve the use of input materials or the generation of physical products and packaging.
	301-2 Recycled input materials used	Not Applicable	
	301-3 Reclaimed products and their packaging materials	Not Applicable	
Energy			
GRI 3: Material Topics 2021	3-3 Management of material topics		
GRI 302: Energy 2016	302-1 Energy consumption within the organization		
	302-2 Energy consumption outside of the organization		
	302-3 Energy intensity		

	302-4 Reduction of energy consumption		
GRI 302: Energy 2016	302-5 Reductions in energy requirements of products and services		
Water and effluents			
GRI 3: Material Topics 2021	3-3 Management of material topics		
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource		
	303-2 Management of water discharge related impacts		
	303-3 Water withdrawal		
	303-4 Water discharge		
	303-5 Water consumption		
Biodiversity			
GRI 304: Biodiversity 2016	304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	Not Applicable	As a financial institution, Kapital Bank does not operate in sectors with direct interaction with natural ecosystems. Its activities are office-based and do not involve land use, resource extraction, or operations in or near protected areas or areas of high biodiversity value.
	304-2 Significant impacts of activities, products, and services on biodiversity	Not Applicable	
	304-3 Habitats protected or restored	Not Applicable	
	304-4 IUCN Red List species and national conservation list species with habitats in areas affected by operations	Not Applicable	
Emissions			
GRI 3: Material Topics 2021	3-3 Management of material topics		
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions		
	305-2 Energy indirect (Scope 2) GHG emissions		
	305-3 Other indirect (Scope 3) GHG emissions		

	305-4 GHG emissions intensity		
	305-5 Reduction of GHG emissions		
	305-6 Emissions of ozone-depleting substances (ODS)	Not Applicable	Kapital Bank, as a financial institution, is not engaged in activities that involve the production, use, or direct emission of ozone-depleting substances (ODS), nitrogen oxides (NOx), sulfur oxides (SOx), or other significant air emissions.
	305-7 Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	Not Applicable	
Waste			
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impact		
	306-2 Management of significant waste-related impacts		
	306-3 Waste generated		
	306-4 Waste diverted from disposal		
	306-5 Waste directed to disposal		
Supplier environmental assessment			
GRI 3: Material Topics 2021	3-3 Management of material topics	Partially Disclosed	Responsible Sourcing and Procurement
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	Disclosed	Starting from the second half of 2026, environmental and social screening will be applied to new suppliers.
	308-2 Negative environmental impacts in the supply chain and actions taken	Disclosed	
Employment			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Strengthening Our Human Capital
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	Disclosed	Strengthening Our Human Capital and Performance Tables
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	Disclosed	There are no employment benefits provided to full-time employees that are not available to part-time employees during the reporting period.
	401-3 Parental leave	Disclosed	Strengthening Our Human Capital and Performance Tables

Labor/management relations			
GRI 402: Labor/ Management Relations 2016	402-1 Minimum notice periods regarding operational changes	Disclosed	Minimum notice periods regarding operational changes are regulated by the Labor Code of the Republic of Azerbaijan and internal company guidelines.
Occupational health and safety			
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	Disclosed	Strengthening Our Human Capital
	403-2 Hazard identification, risk assessment, and incident investigation	Disclosed	Strengthening Our Human Capital
	403-3 Occupational health services	Disclosed	Strengthening Our Human Capital
	403-4 Worker participation, consultation, and communication on occupational health and safety	Disclosed	Strengthening Our Human Capital
	403-5 Worker training on occupational health and safety	Disclosed	Performance Tables
	403-6 Promotion of worker health	Disclosed	Strengthening Our Human Capital
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	Disclosed	Strengthening Our Human Capital
	403-8 Workers covered by an occupational health and safety management system	Disclosed	All Kapital Bank's employees are covered by an occupational health and safety management system aligned with national labor legislation.
	403-9 Work-related injuries	Disclosed	Performance Tables
	403-10 Work-related ill health	Disclosed	Performance Tables
Training and education			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Strengthening Our Human Capital
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	Disclosed	Strengthening Our Human Capital and Performance Tables

	404-2 Programs for upgrading employee skills and transition assistance programs	Disclosed	Strengthening Our Human Capital
	404-3 Percentage of employees receiving regular performance and career development reviews	Disclosed	Performance Tables
Diversity and equal opportunity			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Strengthening Our Human Capital
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	Disclosed	Performance Tables
	405-2 Ratio of basic salary and remuneration of women to men	Disclosed	Performance Tables
Non-discrimination			
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	Disclosed	Performance Tables
Freedom of association and collective bargaining			
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Disclosed	No risks to freedom of association or collective bargaining were reported during the reporting period.
Child labor			
GRI 408: Child Labor 2016	408-1 Operations and suppliers at significant risk for incidents of child labor	Not Applicable	Kapital Bank is firmly opposed to child labor and adheres to both legal requirements and internal regulations to prevent it occurrence.
Forced or compulsory labor			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Strengthening Our Human Capital
GRI 409: Forced or Compulsory Labor 2016	409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labor	Disclosed	No operations or suppliers were identified as having significant risks related to forced or compulsory labour during the reporting period.
Security practices			
GRI 410: Security Practices 2016	410-1 Security personnel trained in human rights policies or procedures	Disclosed	No human rights training was provided to security personnel during the reporting period.
Rights of Indigenous peoples			

GRI 411: Rights of Indigenous Peoples 2016	411-1 Incidents of violations involving rights of Indigenous peoples	Disclosed	No such incidents occurred during the reporting period.
Local communities			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Our Role in Society
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	Disclosed	Our Role in Society
	413-2 Operations with significant actual and potential negative impacts on local communities	Not Disclosed	
Supplier social assessment			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Responsible Sourcing and Procurement
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	Disclosed	The practice of supplier assessment will be implemented in the upcoming reporting years.
	414-2 Negative social impacts in the supply chain and actions taken	Disclosed	
Public policy			
GRI 415: Public Policy 2016	415-1 Political contributions	Disclosed	Kapital Bank made no financial or in-kind contributions to political parties, politicians, or related institutions during the reporting period.
Customer health and safety			
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories	Not Disclosed	
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	Disclosed	There were no such incidents during the reporting period.
Marketing and labeling			
GRI 417: Marketing and Labeling 2016	417-1 Requirements for product and service information and labeling	Disclosed	Enhancing Customer Experience

	417-2 Incidents of non-compliance concerning product and service information and labeling	Disclosed	There were no such incidents during the reporting period.
	417-3 Incidents of non-compliance concerning marketing communications	Disclosed	There were no such incidents during the reporting period.
Customer privacy			
GRI 3: Material Topics 2021	3-3 Management of material topics	Disclosed	Digital Trust and Data Responsibility

Abbreviation List

AI	Artificial Intelligence
AML	Anti-Money Laundering
CEO	Chief Executive Office
CRO	Chief Risk Officer
CSAF	Cyber Security Assessment Framework
CSAT	Customer Satisfaction Score
CTF	Count-Terrorist Financing
DEI	Diversity, Equity, and Inclusion
ERM	Enterprise Risk Management
ERP	Enterprise Resource Planning
ESG	Environment, Social, and Governance
ETF	Exchange Traded Fund
FATF	Financial Action Task Force
GRC	Governance, Risk, and Compliance
GRI	Global Reporting Initiative
IAD	Internal Audit Department
IDM	Identity Management
ITSM	Information Technology Service Management
KPIs	Key Performance Indicators
KRI	key risk indicator
KYC	Know Your Customer
MLRO	Money Laundering Reporting Officer
NFC	Near Field Communication
NIST	National Institute of Standards and Tec
NPS	Net Promoter Score
OHI	Organizational Health Index
PCI DSS	Payment Card Industry Data Security Standard
PDLC	Product Development Lifecycle
PIR	Post-Incident Reports
RCSAs	Risk and Control Self-Assessments
ROTE	Return on Tangible Equity
SIPC	Securities Investor Protection Corporation
UN	United Nations
UN SDGs	United Nations Sustainable Development Goals

Limited Assurance Statement

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